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POSTAL MANUAL VOLUME II —

Chapter III - Appeals and Petitions, Chapter IV-Personal matters,
Chapter V-Security Deposits, Chapter VII - Forged counterfeit
stamps and defaced postage stamps, coins and currency notes.

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

POSTAL MANUAL VOLUME II – GENERAL REGULATIONS

✦ **SCOPE OF THIS PART:** Chapter III : Appeals and Petitions (Rules 115 – 126, 123-A)

KEY STATUTORY UPDATE: The Indian Post Office Act, 1898 (VI of 1898) has been **repealed and replaced** by the **Post Office Act, 2023 (Act No. 43 of 2023)**, which came into force on **18th June 2024** vide Gazette Notification S.O. 2352(E) dated **17th June 2024**. Simultaneously, the Indian Penal Code, 1860 has been **replaced** by the **Bharatiya Nyaya Sanhita, 2023 (BNS)**, which came into force on **1st July 2024**. The Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS) replaced the Code of Criminal Procedure, 1973. All legislative references in this Volume have been updated accordingly throughout these notes.

📄 **LEGISLATIVE NOTE:** The Post Office Act, 2023 (43 of 2023) enacted by Parliament in December 2023 repealed the Indian Post Office Act, 1898. Section 16(2) of the Post Office Act, 2023 provides that all rules, notifications and orders made under the 1898 Act, insofar as they relate to matters for which provision is made in the new Act and are not inconsistent therewith, shall be deemed to have been made under the new Act and shall continue in force unless superseded. The Post Office Rules, 2024 and Post Office Regulations, 2024 were subsequently issued under the new Act.

CHAPTER III**APPEALS AND PETITIONS**

Preliminary Note on Appeals

Rules 110 to 114. — Deleted.

Petitions – General Provisions

Rule 115. – Nature and Addressing of Petitions

Any representation which is not an appeal should be designated as a **petition**. A petition, when not made against a decision on a previous communication, should be addressed to the authority competent to pass orders on the subject-matter and should be submitted through the proper channel.

Rule 116. – Individual Nature; Joint Petitions Inadmissible

Every employee wishing to submit a petition must do so separately, and the petition can be made only in respect of matters in which he has a personal interest. **Joint petitions are inadmissible**, but there is no objection to an identical petition being made by more than one employee, provided the circumstances and conditions of the case as represented in the petition apply personally to each individual employee by whom it is submitted. Petitions must not contain any irrelevant matter; they should be clear and concise and couched in respectful language and end with a specific prayer. Whenever practicable, they should be written in **English**.

Rule 117. – Channel and Hierarchy for Petitions to Higher Authorities

A petition to a higher authority when made against the decision of a next lower authority, must be accompanied by a copy of the order against which it is made, and must be submitted through the officer by whom the order was passed (whether original or on petition) and addressed to the next higher authority.

For instance:

- A petition against an order originally passed by an **Inspector of Post Offices** must, in the first instance, be submitted through him, accompanied by a copy of his order, and addressed to the **Superintendent of the Division**.
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- If the petitioner is dissatisfied with the Superintendent's order, a petition to the **Director of Postal Services** must be submitted through the Superintendent, accompanied by a copy of the Superintendent's order.
- A petition against an order originally passed by a **Superintendent of Post Offices or R.M.S.** must in the first instance be submitted through him, accompanied by a copy of his order, and addressed to the **Director of Postal Services**.
- Petitions against the decisions of **DPS** should be addressed to the **Head of the Circle** in the case of major circles and to the **D.G.** in the case of minor circles.
- Petitions against the decisions of **Heads of Circles** must be submitted to the **D.G.** through the Head of the Circle or any authority directly subordinate to the D.G., accompanied by a copy of his order.

NOTE. — These instructions are applicable only to those cases which are not governed by the **CCS (CCA) Rules, 1965**. Petitions under the CCS (CCA) Rules in disciplinary cases have to be addressed after the appellate authority stage to the **Head of the Circle or Member (Personnel)** where Head of Circle is the appellate authority. Petitions from **Uttarakhand, Chhattisgarh and Jharkhand** Circles where the Heads of Circles are of the Senior Administrative Grade would be considered by **Member (Personnel)**. Review petitions under **Rule 29-A of the CCS (CCA) Rules, 1965** to the President should be submitted through proper channel.

 **LEGISLATIVE NOTE:** The DoPT O.M. dated **29th March 2023** on "Handling of Disciplinary Proceedings in respect of Central Civilian employees" reiterated the importance of conforming with procedures prescribed in the CCS (CCA) Rules, 1965. The CVC Circular dated **13th February 2024** emphasised timely finalisation of Departmental Inquiry Proceedings for improving vigilance administration. These directives supplement the petition channel requirements.

Rule 118. — Deleted.

Rule 118-A. — Petitions Not Submitted Through Proper Channel

(1) Any petition or copy thereof which is sent direct to the Director General or to any subordinate authority, instead of through the proper channel, will be **filed**, no notice of any kind being taken of it.

(2) In one class of case only may an exception be made to this rule. It occasionally happens that an aggrieved official complains that he can get no reply at all to a petition submitted in the proper manner. In such a case a **reminder** should be sent to the proper authority. If no reply is still forthcoming, after a reasonable time has been allowed for it, this fact may be reported direct to higher authority, copy being sent invariably through the official channel. If such a case comes to the notice of the Director General or the Head of a Circle or any other authority directly subordinate to the Director General, his attention will be directed to the alleged failure of the proper authority to deal with the case and to ensuring that the regular system is worked properly, rather than to the merits of the case itself.

(3) In the case of **memorials addressed to the President** or to the Government of India, no copies of such memorials should be forwarded by the memorialists direct to those authorities.

NOTE. — These rules apply also to petitions, representations and applications addressed to the Director General by persons who have left the Department, or whose services have been dispensed with or who have been dismissed or removed from service. All such communications must be submitted through the **Head of the Circle** or the Administrative Office under whom the persons were last employed.

Rule 118-B. — Forwarding Officer to Submit Full Report

The officer by whom a petition is received for onward transmission should forward it to the authority addressed, with a report giving a full statement of the case and a **definite recommendation** in respect of the prayer or prayers contained therein. Relevant documents (copies or in original) should also accompany the forwarding report. If a petition or any of the documents accompanying or sent with it is in any Indian language, an **English translation** of the document should be appended.

Rule 118-C. — No Petition Lies to a Higher Authority Skipping Intermediate Authority

No petition lies to a higher authority except against the order of the **next lower authority** in which the latter authority is competent to pass orders on the subject-matter of the petition. For instance, a petition against an Inspector's order does not lie to the Director of Postal Services if the Superintendent has not been previously addressed; in such cases the petition is liable to be **withheld by the Superintendent**. Similarly, a petition against the order of a Superintendent does not lie to the Head of the Circle if the Director of Postal Services has not been previously addressed; in such cases the petition is liable to be withheld. A petition against the orders of any other authority directly subordinate to the Director General should, however, be made to the Director General.

Rule 118-D. — Time Limit for Petitions — Six Months

Petitions to a higher authority against the orders of a lower authority are liable to be rejected without investigation if they are submitted more than **six months** after the date of communication to the petitioner of the order represented against.

NOTE. — The period of **6 months** should count after the date on which the petitioner was informed of the original orders of the authority concerned, and not the subsequent orders, if any, passed on a petition for reconsideration.

Rule 118-E. — Withholding of Petitions — Authority and Procedure

No authority below the rank of the **Head of a Circle or Head of an Administrative Office** directly subordinate to the Director General may withhold a petition addressed to a higher authority unless it relates to a subject on which the lower authority is competent to pass orders and no previous application for redress has been made to him. Whenever a petition is withheld under this rule, the fact that it has been withheld and the reason for withholding it must be communicated by the officer concerned to the **petitioner** as well as to the **authority to whom the petition was addressed**.

Petitions to the Director General

Rule 119. — Applicability of General Rules

The instructions in the preceding rules apply also to petitions addressed to the Director General.

Rule 120. — Discretionary Power of Head of Circle to Withhold Petitions to D.G.

The Head of a Circle or any other authority directly subordinate to the Director General is, however, vested with **discretionary power to withhold** petitions to the Director General in the following cases; and whenever this power is exercised, the fact and the reasons for it should be communicated to the petitioner:

(a) In the case of a **transfer** ordered in the interest of service or the **refusal of an application for a transfer** including exchanges of stations at the expense of the officials concerned.

NOTE. — The mere fact of transfer to which every official is liable as a condition of his service cannot, in ordinary circumstances, be made a ground for representation to the Head of the Department; but a petition lies to the Director General in the case of an officer **frequently transferred at short intervals** and who makes this a ground of his petition.

(b) In the case of a **candidate for employment** in the Department, a **learner under training**, a **temporary or acting official**, or a **probationer**, whom the Head of a Circle or any authority subordinate to him is competent to appoint and who is removed from the Department as having proved himself unfit for permanent employment.

NOTE. — This does not include cases in which any of the officials mentioned above is discharged or dismissed or removed from service on account of some specific offence, whether proved or suspected, e.g., participation in a fraud.

(c) In the case of **voluntary unconditional resignation** of his appointment by an officer.

(d) In case a petition is **illegible or unintelligible**, or contains language which, in the opinion of the Head of the Circle or any other authority directly subordinate to the Director General, is **disrespectful or improper**.

(e) In case a previous petition has been disposed of by the Director General and a fresh one is submitted **disclosing no new facts or circumstances** affording ground for reconsideration of the orders already passed.

(f) In case a petition relates to a subject on which the Head of the Circle or any other authority directly subordinate to the Director General is **competent to pass orders** and **no previous application for redress** has been made to them.

(g) In case a petition to the Director General against the order of the Head of a Circle or any other authority directly subordinate to the Director General is **not submitted within six months** after the date on which the petitioner was informed of the order represented against, and no reasonable cause is shown for the delay.

NOTE. — The period of **6 months** should count after the date on which the petitioner was informed of the original orders of the authority concerned, and not the subsequent orders, if any, passed on a petition for reconsideration.

(h) In the case of an application —

- (i) for employment in Government service not made in pursuance of any rule or announcement regarding applications for such employment; or
- (ii) for **exemption from the provisions** of any rule or order prescribing the qualifications to be possessed by persons for appointment in the service of Government.

(i) In the case of a petition against **termination of services under Rule 5** of the Central Civil Services (Temporary Service) Rules, 1965, if it is submitted after the expiry of **three months** —

- (i) in a case where notice is given, from the **date of notice**;
- (ii) in a case where no notice is given, from the **date of termination of service**.

Rule 121. — Quarterly List of Withheld Petitions

The Head of a Circle or any other authority directly subordinate to the Director General will forward **quarterly** to the Director General a list of petitions withheld under Rule 120.

Petitions to the President

Rule 122. — Instructions for Submission

The instructions for the submission of petitions to the President are reproduced in the succeeding rules. The petitions may also be addressed to the **Secretary of the Government of India, Department of Posts, Ministry of Communications**. They must be submitted through the official superior of the petitioner.

The instructions do not contemplate the submission of petitions to the Honourable Prime Minister or the Honourable Ministers in charge of the Ministry of Communications or to the Secretary of the Department of Posts **by name**. No attention will be paid to petitions which are submitted direct, and those addressed to the Honourable Prime Minister, Honourable Minister or the Secretary by name.

Petitions which are submitted through the proper channel but are incorrectly addressed should be returned for correction before they are forwarded to the Directorate General.

Every petition to the President must be forwarded to the Director General by the Head of the Circle concerned or any other authority directly subordinate to the Director General, accompanied by a **concise statement of material facts** and (unless there are special reasons for not doing so) an **expression of his opinion**.

NOTE. — Petitions to the Chairman of the Postal Services Board or to any other member of the Board will **not** be treated as petitions addressed either to the Director General or to the President. Such petitions should be returned to the petitioners for being addressed to the proper authority, namely, the President or the Director General as the case may be.

Rule 123. — Instructions for Submission of Petitions to the President from Outsiders

PART I — PRELIMINARY

1. Definition. — For the purposes of these Instructions, "petition" includes memorials, letters and applications of the nature of petitions.

2. Scope of Instructions. — These Instructions shall apply, so far as may be, to all petitions addressed to the President relating to matters to which the executive authority of the President extends, **excepting** —

- (i) petitions submitted by, or on behalf of, persons sentenced by a court of law to death or to any other punishment;
- (ii) petitions submitted by, or on behalf of, persons who are or have been in the service of the Union of India in respect of matters arising out of such service or in respect of the termination of such service; and
- (iii) petitions relating to bills pending before the Indian Parliament.

PART II — FORM AND MANNER OF SUBMISSION OF PETITIONS

3. Form of petitions. —

- (1) A petition may be either in type or in print.
- (2) Every petition shall be authenticated by the **signature of the Petitioner**, or, when the petitioners are numerous, by the signatures of one or more of them.
- (3) Every petition and the documents accompanying it shall, if possible, be in **English**; if not, they shall be accompanied by an English translation authenticated in the manner provided in Sub-instruction
- (2).

4. Contents of petition. — Every petition shall —

- (a) contain all material statements and arguments relied upon by the petitioner;
- (b) be complete in itself;
- (c) if any recorded order of a public authority is complained against, be accompanied by a copy of the order and by a copy of any order in the case passed by the subordinate authority; and
- (d) end with a **specific prayer**.

5. Method of submission. — Every petition shall be submitted —

- (a) if it relates to a matter directly administered by the President — through the **Head of the Department** concerned;
- (b) if it emanates from a Union Territory under a Lt. Governor, and is not covered by the preceding clause — through the **Chief Commissioner**; and
- (c) in any other case — **to the President in the Ministry of Home Affairs**;

and shall be accompanied by a letter requesting the authority to submit the petition to the President.

PART III — WITHHOLDING OF PETITIONS BY SUBORDINATE AUTHORITIES

6. Circumstances in which petitions may be withheld. — The petitions received by any authority under Sub-instructions (a) and (b) of Instruction 5 may, if it is an authority specified in the Schedule, be withheld by that authority when —

1. The petitioner has not complied in full with the provisions of Part II of those instructions;
2. The petition is illegible or unintelligible, or contains **disloyal, disrespectful or improper** language;
3. A previous petition from the petitioner on the same subject has been disposed of by the Government of India or the President, and the petition discloses **no new facts or circumstances** which afford grounds for reconsideration;
4. The petition is a representation against a decision which is **declared to be final** by any law or statutory rule;
5. The law provides a **different or specific remedy** in respect of the subject matter of the petition, whether or not any period of limitation prescribed has expired;
6. The petition is in effect an appeal from a **judicial decision**;
7. The petition is a mere application for relief, pecuniary or other, which is —
 - (a) presented by a person manifestly possessing no claim or advancing a claim of an obviously unsubstantial character; or
 - (b) so **belated** that its consideration is clearly impossible;

8. The petition makes a proposal regarding legislation which the authority is not prepared to support;
 9. The petition is a representation against the action of a **private individual** or of a body of private individuals regarding the private relations of the petitioner;
 10. The petition relates to a matter in which the petitioner has **no direct personal interest**;
 11. The petition relates to a subject on which the authority is competent to pass orders, and **no application for redress** has been made by the petitioner to the authority;
 12. The petition is a representation against an order communicated to the petitioner **more than six months** before the submission of the petition and no satisfactory explanation for the delay is given;
 13. The petition is a representation against a failure to **exercise a discretion** vested in the President or any other authority.
- 7. Petitioner to be informed when petition is withheld.** — When a petition is withheld under Instruction 6, the authority shall **inform the petitioner** of the withholding and the reasons therefor.
- 8. List of petitions withheld.** — The authorities mentioned in the Schedule shall send a **quarterly return** to the President specifying all petitions withheld under Instruction 6 and the reasons for withholding them.

PART IV — TRANSMISSION OF PETITIONS BY SUBORDINATE AUTHORITIES

9. Procedure for Transmission. —

- (1) The authorities referred to in Sub-instructions (a) and (b) of Instruction 5 shall transmit to the President all petitions not withheld under Instruction 6, together with a **concise statement of facts** material thereto and an expression of the opinion of the authority concerned thereon.
- (2) Where the petition or any document accompanying it is not in English —
 - (a) if it is accompanied by an English translation, the authority shall examine the translation and report any defects found therein while transmitting the petition;

- (b) if it is not accompanied by an English translation, the authority shall prepare such a translation and transmit it together with the petition.

SCHEDULE – LIST OF SUBORDINATE AUTHORITIES WHO MAY WITHHOLD PETITIONS (*See Instruction 6*)

1. All Heads of Departments directly administered by the President including –
 - (a) The Chief of the Army Staff in India;
 - (b) The Chief of the Naval Staff, Indian Navy;
 - (c) The Chief of the Air Staff, Air Headquarters, India; and
 - (d) The Railway Board.
2. Army, District and Independent Brigade Commanders.
3. Lieutenant Governors.

Rule 123-A. – Instructions for Submission, Receipt and Transmission of Petitions Addressed to the President in Respect of Matters Arising out of Civil Employment under the Government of India

PART I – PRELIMINARY

1. Definitions. – In these instructions –

- (1) "Petition" includes a memorial, representation, letter or an application of the nature of a petition.
- (2) "Prescribed authority" means the appropriate authority specified in the Schedule to these Instructions.

2. Scope of Instructions. –

- (1) Save as hereinafter provided, these instructions shall apply –
 - (i) So far as may be, to all petitions addressed to the President by persons who are, or have been, in the **civil employment of the Government of India** – other than persons who are or have been under the administrative control of the Railway Board, and persons who are governed by the All India Services (Discipline and Appeal) Rules, 1969 – in respect of matters

arising out of such employment or in respect of the termination of such employment.

- (ii) So far as they are not inconsistent with the conditions of the Indian Army, Naval, or Air Force Service, to petitions addressed to the President by **members of the Armed Forces** who are or have been in civil employment of the Government of India, in respect of matters arising from such employment.
- (2) These instructions shall not affect any rules or orders made by the President in respect of representations submitted by **Associations or Unions of Government servants**.

PART II – FORM AND MANNER OF SUBMISSION OF PETITIONS

3. Form of petitions. —

- (1) Every petition shall be **legible** and may preferably be either in typescript or in print.
- (2) Every petition shall be **authenticated by the signature of the petitioner** and shall be submitted by him in his own behalf.
- (3) Every petition and any document accompanying it shall be in the **official language of the Union** or any of the regional languages specified in the **Eighth Schedule** to the Constitution:

Provided that if a petitioner document is in a regional language, a translation thereof in the official language shall be furnished as far as possible along with such petition or document, but **no petition shall be withheld on the ground only of such translation**.

4. Contents of petitions. — Every petition shall —

- (a) contain all material statements and arguments relied upon by the petitioner;
- (b) be complete in itself and include a copy of the order complained against, as well as copies of orders, if any, passed by subordinate authorities;
- (c) contain **no disloyal, disrespectful or improper language**;
- (d) end with a **specific prayer**.

5. Methods of submission of petitions. —

- (1) Every petition shall be submitted to the prescribed authority through the **Head of the Office or Department** to which the petitioner belongs or belonged, and shall be accompanied by a letter requesting the prescribed authority to transmit it to the President.
- (2) The Head of the Office or Department, on receipt of the petition submitted through him, shall forward the petition through the usual official channel to the prescribed authority, together with a **concise statement of the facts**, material thereto, all relevant papers, and, unless there are special reasons to the contrary, an **expression of his opinion** thereon.

PART III — WITHHOLDING OF PETITIONS BY THE PRESCRIBED AUTHORITY

6. Circumstances in which petitions may be withheld. — The prescribed authority may, in its discretion, withhold a petition when —

1. The petitioner has not complied with any of the provisions of Part II; or
2. The petition is a representation against an order communicated to the petitioner **more than six months** before the submission of the petition, and no satisfactory explanation of the delay is given; or
3. A previous petition from the petitioner on the same subject has been disposed of by the President and the petition discloses **no new facts or circumstances** which afford grounds for a reconsideration of the matter; or
4. The petition is a representation against a decision which is **declared to be final** by any law or statutory rule; or
5. The petition is an application for employment under the Government **not made in pursuance** of any rule or announcement calling for applications for such employment; or
6. The petition relates to a subject on which the prescribed authority is **competent to pass orders** and **no application for redress** has been made by the petitioner to the prescribed authority; or
7. The petition is a representation against the **non-exercise in favour of the petitioner** of a discretion vested in the prescribed authority; or

8. The petition is a representation against the **discharge or termination of service** by a competent authority of the petitioner, having been —
- (a) appointed on probation, during or at the end of such probation;
 - (b) appointed, otherwise than under contract, to hold a **temporary appointment**, on the expiration of the period of such appointment; or
 - (c) engaged under contract, in accordance with the terms of such contract;
9. The petition is a representation against an order —
- (a) from which the petitioner has already exercised, or **has failed to exercise**, a right of appeal available under the rules or orders or the contract regulating his conditions of service;
 - (b) passed by a competent authority in the exercise of **appellate or revisional powers** conferred by any rule, order or contract regarding his conditions of service; or
10. The petition is a representation against an order of a competent authority refusing to grant or recommend —
- (i) a **special pension**; or
 - (ii) any **pecuniary or other concession** to which the petitioner is not entitled under any rules or orders or contract regulating his conditions of service.

7. Petitioner to be informed when petition is withheld. — The prescribed authority shall, when a petition is withheld under Instruction 6, **inform the petitioner** of the withholding thereof and the reasons therefor.

8. List of petitions withheld. —

- (i) If the prescribed authority is other than the Secretary to the Government of India in the appropriate Ministry or Department, it shall submit to such Secretary a **quarterly return** specifying particulars of all petitions withheld by it under Instruction 6 and the reasons for withholding the same.
- (ii) If the Secretary to the Government of India in the appropriate Ministry or Department is himself the prescribed authority, he shall prepare a quarterly return specifying particulars of petitions withheld by him under Instruction 6 and the reasons for withholding the same.

- (iii) The returns prepared under Sub-instructions (i) and (ii) shall be dealt with in the manner provided in the rules made by the President for the transaction of the business of the Government of India.
- (iv) If the President, on a scrutiny of the said returns or otherwise so directs, any or all of the petitions specified in the return under Sub-instruction (i) shall be transmitted by the prescribed authority to the Secretary concerned, or any or all of the petitions specified in the return under Sub-instruction (ii) shall be taken into consideration.

PART IV – PROCEDURE IN RESPECT OF PETITIONS NOT WITHHELD

9. Procedure for transmission. — If the prescribed authority is other than the Secretary to the Government of India in the appropriate Ministry or Department, it shall transmit to such Secretary petitions not withheld under Instruction 6 and petitions called for under Instruction 8, together with a **complete statement of the facts** material thereto and all relevant papers, and, unless there are special reasons to the contrary, an expression of the opinion of the prescribed authority thereon.

10. Consideration of the petitions. — Petitions received in his capacity as the prescribed authority by the Secretary to the Government of India in the appropriate Ministry or Department and not withheld by him under Instruction 6, petitions taken into consideration under Sub-instruction (iii) of Instruction 8, and petitions transmitted to such Secretary under Instruction 9, shall thereafter be dealt with in accordance with the provisions of the Rules made by the President for the transaction of the business of the Government of India.

11. Action to be taken after final orders are passed on petitions. — The prescribed authority shall himself give effect, or ensure that effect is given by the competent authority, to such orders as the President may pass on any petition and, if the prescribed authority is other than Secretary to the Government of India in the appropriate Ministry or Department, submit to such Secretary within a period of **three months** of the receipt of the orders a report of the action taken.

THE SCHEDULE (See Instruction 1(2))**List of authorities included in the term "prescribed authority":**

In respect of persons who are or have been employed —

1. In **Ministries or Departments** of the Government of India — the Secretary of the Ministry or Department;
2. In **Attached Offices** of the Government of India or in Offices subordinate to such Attached Offices, or in offices not subordinate to any Attached Office — Heads of Department who are directly under the Government of India;
3. In connection with the affairs of a **Part 'C' State or Union Territory** — the Chief Commissioner or Lieutenant Governor, as the case may be;
4. In **lower formations** under the Army, Navy or Air Force — the appropriate Principal Staff Officer at Army Headquarters, Naval Headquarters and Air Headquarters.

Rules 124, 124-A, 124-B, 125, 126. — Deleted.

 QUICK REVISION SUMMARY — CHAPTER III

Concept	Key Rule / Time Limit
Joint petitions	Inadmissible (Rule 116)
Petition must be submitted through	Proper channel / through the officer who passed the order
Time limit for petition to higher authority	6 months from date of communication of order (Rules 118-D, 120(g))
Quarterly list of withheld petitions to D.G.	Mandatory under Rule 121
Petition withheld — communication to petitioner	Mandatory — fact and reasons to be communicated (Rules 118-E, 120)

Petition to President — prescribed authority quarterly return	Mandatory (Rule 123-A, Instruction 8)
Final orders on petitions — action report timeline	3 months from receipt of President's orders (Rule 123-A, Instruction 11)
Language of petition	English preferred; regional language with official language translation permissible
Petition to President by name of PM/Minister	Not entertained
Petitions withheld — exception for belated petition	No petition after 6 months without satisfactory explanation

 **LEGISLATIVE NOTE — CCS (CCA) Rules, 1965 Status:** The CCS (Classification, Control and Appeal) Rules, 1965 continue to remain in force. They were last substantively amended by the DoPT Notification dated **2nd June 2017** (amendment to Rules 14 and 16). The CVC Circular dated **19th February 2024** addressed the handling of petitions of bias by Charged Officers. The DoPT O.M. dated **9th October 2024** issued revised guidelines regarding grant of Vigilance Clearance to AIS Officers and Central Civil Services/Central Civil posts employees. These instruments are supplemental to but do not alter the petition channel established in this Chapter.

POSTAL MANUAL VOLUME II – GENERAL REGULATIONSPart 2 – Chapter IV: Personal Matters

✦ **SCOPE OF THIS PART:** Chapter IV – Personal Matters (Rules 127 – 190)

KEY STATUTORY UPDATES APPLICABLE TO THIS CHAPTER:

- The **Bharatiya Nyaya Sanhita, 2023 (BNS)** replaced the Indian Penal Code, 1860 with effect from **1st July 2024**. All IPC section references have been updated to their BNS equivalents where applicable.
 - The **Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)** replaced the Code of Criminal Procedure, 1973 (Cr.P.C.) with effect from **1st July 2024**. All CrPC section references have been updated accordingly.
 - The **Constitution of India** – Article 311 provisions referenced in this Chapter remain unchanged and continue in full force.
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CHAPTER IV**PERSONAL MATTERS**

Institution and Defence of Civil Suits**Rule 127. – Civil Legal Proceedings – General Procedure**

When it becomes, or is considered, necessary to institute civil legal proceedings, the suit, if within the jurisdiction of a **Small Cause Court**, is to be brought before that court under the usual rules of such courts. If the case be, from amount or locality, beyond the jurisdiction of a Small Cause Court, the officer filing the suit will refer the matter to the **district officer** (i.e., the officer in general administrative charge of a district, be he a Magistrate, Collector, Deputy Commissioner, Superintendent or anybody else), and ascertain from that officer whether the services of the **Government Pleader** are available

and what steps should be taken to bring the matter before the court in such a way as to give fair protection to the interests of Government.

In important cases at or near **Kolkata, Chennai, Mumbai** or other places at which a Government Solicitor or other law officer is stationed, the advice of that officer should be obtained.

The **Head of a Circle** should first obtain orders of the **Director General** when he proposes to institute a civil suit on behalf of the Department or when he receives notice that a suit is to be brought against the Department. In very urgent cases, an officer may, on his own responsibility, institute proceedings in anticipation of sanction. Whenever special rules for the conduct of suits in any State have been laid down by or for the State Government, they should be strictly complied with.

The Ministry of Law and Justice (Department of Legal Affairs) has three **Branch Secretariats** at **Kolkata, Mumbai and Chennai** and also separate Sections in the Main Secretariat at Delhi for dealing with litigation in the **Supreme Court, Delhi High Court** and the Subordinate Courts in Delhi.

- For engagement of Counsel in the High Courts and other courts at Kolkata, Mumbai and Chennai — the respective **Branch Secretariats** of the Department of Legal Affairs may be contacted.
- For engagement of Counsel in the **Supreme Court** — the **Central Agency Section** of the Department of Legal Affairs, Supreme Court Building, may be contacted.
- For engagement of Counsel in the **Delhi High Court** — the Litigation (High Court) Section; and for Subordinate Courts in Delhi — the Litigation (LC)X Section of that Department may be contacted.

The Department of Legal Affairs has also appointed **Standing Counsel** in the various High Courts and **Central Government Pleaders** in the Lower Courts in Hyderabad and Bangalore. These Counsel may be contacted direct by officers of the Department.

For other Subordinate Courts, the **Government Pleaders** appointed by the State Government have been notified to appear on behalf of the Union of India and its officers under the Civil Procedure Code. They may accordingly be contacted for cases in these courts and engaged on the fees payable to them under State Government's Rules.

For engagement of **Private Counsel** other than those mentioned above, the matter may be referred to Headquarters for obtaining the concurrence of that Ministry. In no case should a private Counsel be engaged without settling his fees in consultation with the **Ministry of Law and Justice (Department of Legal Affairs)**.

Exception (1)

Heads of Circles need not submit reports regarding suits in connection with —

1. the security bonds of postal servants; and
2. Money Orders and Savings Bank transactions and insured articles;

provided that in case under (2) the amount involved does not exceed **Rs. 500**.

Exception (2)

Subject to the limitation laid down in Item 21(XII) of Schedule II in the Schedule of Financial Powers of officers of the Indian Posts Department, Heads of Circles may authorise the institution of Civil Suits on behalf of the Department against the **defaulting guarantors of combined offices** for recovering deficits against Guarantee, in all cases in which there is reasonable prospect of the dues being realised and when such action is advised by the local Solicitor to Government, who should invariably be consulted.

Exception (3)

Heads of Circles are competent to institute or defend civil suits in connection with **land or buildings** on behalf of the Posts Department, in cases in which it is estimated that the law charges including the Pleader's fees will not exceed **Rs. 250** in each case, provided such action is advised by the local Legal Adviser to the Government, who should invariably be consulted.

 **LEGISLATIVE NOTE:** The monetary thresholds in Exceptions (1) and (3) above — **Rs. 500** and **Rs. 250** respectively — are as they stand in the Manual. These figures reflect

colonial-era limits and have **not been formally revised** by a published amendment to the Postal Manual Vol. II itself. Heads of Circles and Divisional Officers are advised to refer to the **current Schedule of Financial Powers** and any departmental circulars issued from time to time by the Directorate (Ministry of Communications — Department of Posts) for operative financial limits, as administrative orders may have updated these thresholds without formal incorporation into the printed Manual.

Rule 127-A. — Signing and Verification of Complaints and Written Statements

All **Gazetted Officers** in the Posts Department who are fully conversant with the facts of the particular cases are the authorised persons by whom **Complaints and Written Statements** in suits in any court of civil jurisdiction by or against the Central Government can be signed and verified in respect of matters concerning the Posts Department. These officers are also authorised to sign **Vakalatnama** on behalf of the Central Government.

Rule 128. — Government Servant Personally Sued in Civil Court

When any employee of the Department is personally sued in any civil court by parties claiming from him wages or money arising out of transactions in which he is concerned only in his official capacity, and where he acted **bona fide** on behalf of Government, he should apply for the Government as the party really interested to be brought on the record of the suit as **defendant**.

But when the suit is for **damages** in respect of an alleged wrongful act of a Government officer, the party aggrieved can only bring the suit against such officer, and he must not ask for the Government to be impleaded as defendants. The distinction is between **suits on contracts** and **suits for actionable wrongs**.

In cases of the latter kind, it will be for Government to determine whether the defence of the officer in question should be undertaken by Government. This course will be adopted only in cases where there is **no reasonable doubt of the innocence** of the accused. When, on the other hand, there is prima facie evidence that he has acted improperly, he should be left to conduct his own defence, the question of Government contributing towards the

cost of the defence being subsequently considered. Whatever be the nature of the case, **failure to defend the suit**, or to file a reply to the plaint in person or by Counsel as the case may require, will render the officer or subordinate **personally responsible**.

Rule 128-A. — Incidence of Law Charges on Civil Suits in Connection with Government Works

The law charges incurred on Civil Suits in connection with the execution of Government works may be divided into three categories, namely —

- (i) the amount of the claim for which a **decree is given**;
- (ii) the amount of the **incidental law charges** incurred by the executing Department in connection with a work financed from its own departmental heads of expenditure; and
- (iii) the amount of the incidental law charges incurred by the executing Department when **acting as an agent** in connection with a work financed from a different head of expenditure.

The decretal amount of the claim under item (i) should be debited in all cases to the **work concerned**. The charges referred to in item (ii) should be debited to the sub-head "Establishment — Contingencies" of the executing Department. As regards item (iii), the amount should generally be borne by the **Department on whose behalf the work is undertaken**, on the ground that the action of the executing Department acting as agent, which is the cause of the suit, is normally taken in the interest of the work. When, however, it is established that the lawsuit has been caused by a **deliberate act of an employee** of the agent Department for his personal gain, the charges should be adjusted by recovery from the individual concerned or by debit against the standing charges of that Department according to the merits of each case. Each such case with a full statement thereof should be referred to the **Government of India** for orders.

Departmental Proceedings and Prosecution in Cases of Criminal Misconduct

Rule 128-B. — Simultaneous Departmental and Criminal Action

As soon as sufficient evidence is available for the purpose in the course of investigation in cases of misconduct, whether such investigation is conducted departmentally or through the police (including the Special Police Establishment), **action should be taken under the Civil Services (Classification, Control and Appeal) Rules** or other appropriate disciplinary proceedings should be **initiated forthwith**. Such departmental proceedings need not interfere with the police investigation, which may be continued, where necessary.

After the departmental proceedings are concluded, the penalty, if any, imposed as a result thereof, the question of **prosecution** should be considered in the light of such material as may have become available as a result of the investigation.

 **LEGISLATIVE NOTE:** The DoPT O.M. dated **29th March 2023** on "Handling of Disciplinary Proceedings in respect of Central Civilian employees" reaffirmed the principle of simultaneous action and provided comprehensive procedural guidance. The CVC Circular dated **13th February 2024** on "Timely finalization of Departmental Inquiry Proceedings" directed that inquiry proceedings should be completed within **18 months** of initiation, and the CVC Circular dated **1st April 2025** issued further frameworks for timely detection, reporting and disposal of vigilance cases. These circulars are binding administrative instructions supplemental to this rule.

Rule 128-C. — When to Initiate Criminal Proceedings

In suitable cases, criminal proceedings should thereafter be initiated. Before initiating such proceedings, **advice on evidence** should be obtained from Government Counsel and in more important cases from the **Attorney General** or the **Solicitor General**. Where the conduct of an officer discloses a **grave offence of a criminal nature**, criminal prosecution should be the rule and not the exception. Where the competent authority is satisfied that there is no criminal case which can be reasonably sustained, criminal prosecution should not of course be resorted to; but prosecution should **not be avoided merely on the ground** that the case might lead to an acquittal.

Rule 128-D. — Review after Acquittal by Court

Should the decision of the trial court or the Appellate Court, as the case may be, lead to the **acquittal** of the accused, it may be necessary to review the decision taken earlier as a result of the departmental proceedings. A consideration to be taken into account in such review would be whether the legal proceedings and the departmental proceedings covered precisely the **same ground**. If they did not, and the legal proceedings related only to one or two charges, it may not be found necessary to alter the decision already taken.

Moreover, while the court may have held that the facts of the case did not amount to an offence under the law, it may well be that the competent authority in the departmental proceedings might hold that the Government servant was guilty of a **departmental misdemeanour** and had not behaved in the manner in which a person of his position was expected to behave.

Rule 128-E. — Requirements of Article 311 of the Constitution

The requirements of **Article 311 of the Constitution** in regard to the penalties of **dismissal, removal or reduction in rank** should be kept in view.

Article 311(1) provides that no person who is a member of a civil service of the Union or holds a civil post under the Union shall be dismissed or removed by an authority **subordinate to that by which he was appointed**.

Therefore, before any action is initiated under **Rule 15 of the CCS (CCA) Rules, 1965** with a view to imposing any of the major penalties, it should first be verified by the present disciplinary authority whether or not he is **lower in rank** than the officer who actually appointed the official. If it is found that the authority which actually appointed the official is of higher rank than the present disciplinary authority, this fact should be reported to the **Directorate** for issue of **President's orders** nominating another officer to act as disciplinary authority in that particular case. While reporting, the Heads of Circles and Administrative Officers should make a specific recommendation as to the officer who may be nominated.

Article 311(2) provides that no such person shall be dismissed, removed or reduced in rank until he has been given a **reasonable opportunity of showing cause** against the action proposed to be taken. These provisions are **mandatory**. After the inquiry against the accused officer has been completed and the competent authority has come to provisional conclusions regarding the action to be taken, he should be given an opportunity of showing cause against such action if it is dismissal, removal or reduction in rank. For this purpose, he should be supplied with a **copy of the report of the inquiring authority** and be called upon to show cause within a reasonable time. Any representation submitted by him in this behalf should be **duly considered** before final orders are passed.

Failure to observe these statutory requirements renders the orders passed **null and void**, and the Government servant concerned is deemed to have continued in service or in the grade from which he was reduced, and subject to the provisions of any rules regarding allowances, he is entitled to the **pay and allowances** he would have drawn if such action had not been taken.

Compliance with the requirements of Article 311(2) is **not required** in cases covered by clauses **(a), (b) or (c)** of the proviso to that Article. Where action is taken under clause **(a)** on the basis of conviction of a person in a court of law and the conviction is set aside on appeal, the orders passed under the proviso automatically become **inoperative**. If departmental action is considered desirable thereafter, it will be necessary to follow the provisions of the relevant disciplinary rules and, where necessary, the substantive provisions of Article 311(2).

NOTES. — The expression '**disciplinary authority**' occurring in different sub-rules of Rule 15 of the CCS (CCA) Rules, 1965 shall include the authority competent to impose **minor penalties** in respect of all sub-rules except sub-rule (10). Thus, disciplinary proceedings will not be vitiated merely on the grounds that they were initiated by an authority competent to impose minor penalties and the inquiries were also held by that authority or by an inquiring officer appointed by it, **provided** the show-cause notice and the final punishment orders are issued by the authority who is **competent to impose major penalties**.

Criminal Proceedings

Rule 129. — Cognisable and Non-Cognisable Offences

In all criminal cases, the distinction between **cognisable** and **non-cognisable** offences must be carefully observed.

 **LEGISLATIVE NOTE:** The Code of Criminal Procedure, 1973 (Cr.P.C.) has been replaced by the **Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)**, which came into force on **1st July 2024**. The definition of cognisable offence is now found under **Section 2(1)(d) of the BNSS** and non-cognisable offence under **Section 2(1)(l) of the BNSS**. The Indian Penal Code, 1860 has been replaced by the **Bharatiya Nyaya Sanhita, 2023 (BNS)**, effective **1st July 2024**. References in the rule to "section 52 of the Post Office Act" are now to be read as references to the corresponding provisions of the **Post Office Act, 2023 (Act No. 43 of 2023)**. However, the Post Office Act, 2023 has **abolished all offences and penalties** under the earlier Act. Post-office-specific offences such as misconduct, fraud and theft by postal officials are no longer cognisable offences under postal legislation as such; they are governed under the BNS and the CCS (CCA) Rules, 1965.

The following offences are **cognisable** by the police: all cases of highway robbery, theft, criminal breach of trust, cheating by personation. The following are **non-cognisable**: cheating (otherwise than by personation), forgery, and offences under the Post Office Act (to be read as the Post Office Act, 2023) that are not punishable with imprisonment for three years or more.

NOTE. — Offences under the Indian Telegraph Act (now to be read as under the applicable telecommunications legislation) that are non-cognisable include those not punishable with imprisonment for three years or more.

Rule 130. — Action in Cognisable Cases

In cognisable cases, it should be remembered that, when information has once been given to the police under **Section 173 of the BNSS** (corresponding to Section 154 of the old Cr.P.C.), the action to be taken in the matter will be controlled by the **police**. The local

officer of the Department should, however, keep in close personal touch with the progress of the enquiry and render the police every possible assistance.

 **LEGISLATIVE NOTE:** Section 154 of the Code of Criminal Procedure, 1973 (First Information Report) has been replaced by **Section 173 of the Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)**. Section 155 of the old Cr.P.C. (Non-cognisable cases) corresponds to **Section 174 of the BNSS**. Section 190 of the old Cr.P.C. (Cognizance of offences by Magistrates) corresponds to **Section 210 of the BNSS**. All references in this Chapter to Cr.P.C. sections should be read as the corresponding BNSS sections with effect from **1st July 2024**.

There are, however, cognisable cases in which a prosecution may not be desirable and the orders of the **Superintendents/Sr. Superintendents of Post Offices or Railway Mail Service, Presidency Postmasters, First Class Postmasters** (as the case may be) should be obtained before information is laid against the offender, except in cases of urgency where there is reason to believe that the offender will abscond or where immediate action is necessary in order to secure evidence.

NOTE 1. — The officers mentioned above exercise full powers to order prosecutions in cognisable cases, but cases in which prosecution is not considered desirable by them should be referred to the **Head of the Circle** with a recommendation to waive prosecution. If the Head of the Circle agrees, departmental action only may be taken; if not, the case should be made over to the police according to the instructions of the Head of the Circle.

NOTE 2. — Before informing the police, the officer concerned should satisfy himself that documentary or other evidence actually available affords reasonable grounds for believing that a cognisable offence has been committed and that the suspected official acted with **dishonest intent**.

In cases involving suspected offences under the applicable postal legislation and telecommunications law, immediate action is generally necessary to secure evidence. When, therefore, there is good reason to suspect that an official has committed such an offence, the police should be communicated with at once and moved to search his premises if necessary.

Rule 131. — Action in Non-Cognisable Cases

In non-cognisable cases, an officer deputed by the Head of the Circle, or the Superintendent of Post Offices or Railway Mail Service, must take up the investigation with the least possible delay; but if it is necessary or advisable to obtain the aid of the police, the facts should be placed in writing before the nearest **Magistrate having jurisdiction**, and he should be requested under **Section 174 of the BNSS** (corresponding to Section 155 of the old Cr.P.C.) to direct the police also to hold an investigation. When the offences committed are **falsification of accounts or postal documents**, the **sanction of the Head of the Circle** should be obtained before the Magistrate is approached, unless there is reason to fear that the offender will abscond or immediate action is necessary to secure evidence.

Rule 132. — Officers Appointed by D.G. — No Information Without D.G.'s Sanction

When the offender in a cognisable or non-cognisable case is an officer **appointed by the Director-General** or higher authority, under no circumstances should information be laid against him either before a Magistrate or with the police without the **previous sanction of the Director-General**. All such cases should be reported to the Head of the Circle with a view to the orders of the Director General being obtained.

Institution of Criminal Proceedings**Rule 133. — Sanction of Head of Circle Required**

A criminal prosecution in a non-cognisable case must not be instituted without the **previous sanction of the Head of the Circle**, even though the evidence appears sufficient to secure conviction in a court of law. However, in special circumstances, for instance, if delay is likely to result in the **escape of the accused**, the sanction of the Head of the Circle may be anticipated; but in such cases, the action taken should be **reported by telegraph** to the Head of the Circle.

If the case has already been placed in the hands of the police for investigation, the institution of criminal proceedings must be determined mainly by the **police report**, but

before proceedings are actually commenced in the Magistrate's Court, the officer concerned should submit a report to the Head of the Circle embodying the view of the case taken by the police.

Rule 134. — Officers Appointed by D.G. — Sanction of D.G. Required

When the offender is an officer **appointed by the Director-General** or higher authority, criminal proceedings against him should in no circumstances be instituted **without the sanction of the Director-General**.

Conduct of Criminal Prosecutions

Rule 135. — Filing of Written Complaint

An officer, on receiving the orders of the Head of the Circle to prosecute in a non-cognisable case, should at once **prefer a written complaint** to the nearest Magistrate empowered to take cognisance of the case. The complaint should show, in detail, the charges against the official to be prosecuted and should be accompanied by such documentary evidence as may be available. In this complaint, the officer should ask the Magistrate to issue a **process against the offender**, and should attach a preliminary list of the witnesses whom it is desired to produce on behalf of the prosecution. He should also request permission under Section 339 of the BNSS (corresponding to Section 302 of the old Cr.P.C.) to conduct the case or have it conducted on his behalf, subject to the Magistrate's discretion.

 **LEGISLATIVE NOTE:** LEGISLATIVE NOTE: Section 302 of the CrPC, 1973 (Permission to conduct prosecution) — which itself corresponded to Section 495 of the repealed CrPC, 1898 — is replaced by Section 339 of the BNSS, 2023, effective 1st July 2024. References to Section 495 / Section 302 Cr.P.C. in the Manual regarding permission to conduct prosecution are to be read as Section 339 BNSS.

Rule 136. — Presenting the Complaint Before the Magistrate

The officer should take the complaint to the nearest Magistrate empowered to take cognisance of the case, and explain any points on which the Magistrate may desire information. Usually, the Magistrate will, before taking cognisance of the offence, require the person laying the information to **swear to the correctness** of the statement made in the complaint.

Rule 137. — Fixing of Hearing Date

If the documentary or other evidence is not complete before the case is first laid before the Magistrate, he should be asked to fix **as late a date as possible** for the hearing of the case. The prosecuting officer should collect the necessary evidence with the least possible delay and send to the Magistrate, under registered cover, a list of the names and addresses of the witnesses whom he desires summoned.

Ordinarily, the latest date which the Magistrate is likely to fix for enquiring into the offence will be **14 days** from the institution of the case.

Rule 138. — Limitation on Number of Charges at One Trial

The officer conducting the prosecution should remember that, though there may be several cases against the same accused person, he can at one trial be charged with **three charges only** of the same kind, and three charges can be tried together only if the three offences were committed within a period of **12 months** from the first to the last. Offences are of the same kind when they are punishable with the same amount of punishment under the same section of the applicable penal law.

The limitation to three offences only applies to the number which may legally form part of **a single trial**. Any number of offences, wherever and however committed, may be charged against the same offender and tried **consecutively**, provided the trials are separately conducted.

Rule 139. — Principles for Selection of Three Cases

The prosecuting officer should be guided as far as possible by the following principles in selecting the three cases:

- (a) The cases should be **easily provable** from documentary or other evidence.
 - (b) The cases should **not involve the attendance of witnesses from a great distance**.
 - (c) Preference should be given to the **most serious or important cases**.
-

Rule 140. — Conduct of Hearing

When the case comes on for hearing, the prosecuting officer should inform the Magistrate of the **charges selected** for prosecution. The Magistrate may call the witnesses in any order he may think fit; but if the selection is left to the officer prosecuting, he should ordinarily call first the **officer who conducted the investigation**, and the other witnesses in correct succession with a view to proving the case point by point.

Rule 141. — Examination, Cross-Examination and Re-Examination of Prosecution Witnesses

The Magistrate himself may put questions to the witnesses for the prosecution, but the officer conducting the prosecution should put such questions as will elicit from the witnesses the facts which they may have to state in support of the prosecution. After a witness has given his evidence for the prosecution, he will probably be **cross-examined by the defence**, and the cross-examination need not be confined to the points touched upon in the examination-in-chief. If anything unfavourable to the prosecution is elicited, it will be the duty of the prosecuting officer to **re-examine the witness**, if necessary, with a view to explaining away such evidence.

Rule 142. — Cross-Examination of Defence Witnesses

After each witness for the defence has been examined, it will be the duty of the prosecuting officer to **cross-examine him** so as to bring out any weak points in his statements.

Rule 143. — Addressing the Court

On the case for the defence being closed, if the defendant or his pleader addresses the court, the prosecuting officer should also, on the conclusion of the speech, address the court if he considers it necessary to do so.

Rule 144. — Sessions Court Cases

The **Government prosecutor** conducts all cases committed to the Sessions Court, but it will be the duty of the officer in charge of the case to ascertain the date on which the case is to be tried and to be **present at the trial**, in order to render any assistance on technical or other matters which may be required by the court or the Government prosecutor.

Rule 145. — Cognisable Cases — Assistance to Police and Court Representation

When information is given to the police in a cognisable offence in accordance with the orders of a competent authority, it will be the duty of the official giving the information to **afford them full information and such assistance** as will lead to a successful prosecution.

When the case comes on for hearing, an **Inspector Posts or Railway Mail Service**, or other officer, should ordinarily be instructed to be present in court to represent the Department and to give information on any matters of departmental procedure; but in important cases, the **Superintendent/Sr. Superintendent of Post Offices or Railway Mail Service**, or an officer deputed by the Head of the Circle, should undertake this duty himself.

Although prosecutions are generally conducted by the police, it is the duty of the departmental officer concerned to **watch and take an interest** in the conduct of each case and see that no material evidence is omitted.

NOTE. — Taking the example of a case in which a postman is charged with criminal breach of trust in respect of the value of a money order, the witnesses are usually called in the following order: first, the postal officer who conducted the investigation; next, the postmaster who signed the money order for payment; next, the sub-postmaster or Money Order Assistant; then the person who signed the money order as the payee; next, the witnesses before whom the money order is alleged to have been paid; and lastly, the payee.

Employment of Government Pleader

Rule 146. — Rules Vary by State

The rules regarding the employment of the Government Pleader vary in different States. Generally, he is required to represent Government in **criminal appeals** and in **Sessions cases**, but not in ordinary cases before Magistrates. In cases in which the Government Pleader is not obliged to appear without a special fee, his services may not be applied for without the **sanction of the Head of the Circle**. Ordinarily, no legal assistance should be required in conducting a case before a Magistrate.

Application for Fines Imposed by Court

Rule 147. — Application for Recovery of Fine

In any case in which a fine may be imposed by the court on a person convicted of an offence through which the Department has incurred pecuniary loss, it shall be the duty of the gazetted officer ordering the prosecution to issue written instructions in advance to the departmental officer attending the court, or the Government Pleader, or any other legal practitioner employed to represent the Department, to put in a **written application** asking the court, in accordance with the provisions of Section 395 of the BNSS (corresponding to Section 357 of the CrPC, 1973, which itself replaced Section 545 of the

old CrPC, 1898), that, if any fine is imposed, so much of the fine as is required to make good the **loss sustained by the Department** and expenses incurred in the prosecution may be made over to the Department.

 **LEGISLATIVE NOTE:** Section 545 of the CrPC, 1898 (relating to application of fines) was replaced by Section 357 of the CrPC, 1973 (Order to pay compensation). Section 357 of the CrPC, 1973 is now replaced by Section 395 of the BNSS, 2023, effective 1st July 2024. All references in the Manual to Section 545 Cr.P.C. (1898) or Section 357 Cr.P.C. (1973) regarding application of fines and compensation are to be read as Section 395 BNSS

The application should invariably be made **before judgement is passed** and should be preferred by the person conducting the prosecution on behalf of the Government. In no case should the trying judge or Magistrate be addressed direct by the Department. It is in the discretion of the court to grant or refuse the claim.

NOTE. — The expenses of the prosecution include **travelling allowance** paid to official witnesses attending the court, but do **not** include travelling allowance paid either to the official deputed to relieve them or to the investigating officers who watch the proceedings in court.

Punishment Imposed Departmentally

Rules 148, 149, 149-A, 150. — Cancelled.

Compensation for Losses of Property

Rule 151. — Compensation for Losses — Regulated by Finance Department Rules

The Government of India cannot guarantee its officers against every loss which they may suffer whilst in Government service, and compensation will not necessarily be given to public officers for accidental losses of their property. Grant of compensation in such cases is regulated according to the orders contained in the Government of India, Finance Department, Letter No. F. 3(1)-Ex. II/38, dated 11th June 1938, vide **Appendix No. 7** to this Volume.

Service on Juries

Rule 152. — Exemption from Jury Service

All persons employed in the Indian Postal Department are **exempt from liability** to serve as Jurors or Assessors in courts.

 **LEGISLATIVE NOTE:** The institution of jury trials in India was effectively discontinued after 1959 (following the K.M. Nanavati case). The CrPC, 1973 did not provide for jury trials in most jurisdictions, and the BNSS, 2023 continues this position. This Rule is now of historical significance. The exemption from jury/assessor duty remains on record as a formal rule but is largely redundant in current practice.

Medical Aid — General Rules

Rules 153 to 169. — Deleted.

See **Appendices Nos. 12-A and 14** for Medical Aid rules applicable to postal department employees.

Communication with a Medical Adviser

Rule 170. — Official Disclosure of Medical Information

When the particulars of a Government servant's illness are required in the interests of Government by his official supervisors, the **Government Medical Officer**, who has dealt with his case in his official capacity, may be required to supply them without infringing the relations which ordinarily obtain between a patient and his medical adviser.

Rule 171. — Preferred Mode — Obtain from Subordinate Himself

There are, however, objections to confidential communication between the official superior and the medical adviser of a subordinate, and since the information in question must almost invariably be required in connection with the **grant of leave**, it is advisable

that it should ordinarily be demanded, if at all, from the **subordinate himself**, who can obtain it from his medical attendant in the way in which the statement required to support an application for leave on medical certificate is obtained (vide Supplementary Rule 229).

Rule 172. — Cancelled.

Rule 173. — Deleted.

Deaths — Civil Officers

Rule 174. — Death of Employee — Reporting and Protection of Estate

In the event of the death of an employee of the Department, if there is no one at hand entitled to administer his estate, the **senior member of the Department on the spot** will at once report the death and cause thereof, and send a list of assets of the deceased, to the **District Judge** or other civil officer having local jurisdiction and request him to take measures for the protection of such property as the deceased was possessed of at the time of his death.

Rule 174-A. — Funeral Expenses

Funeral expenses incidental to the death of departmental employees in **departmental premises or on duty at out-stations**, where their bodies cannot be attended to by relatives or friends, should be debited to the **Contingent grant** of the office concerned.

NOTE. — For further amplification see Rule 32 of Appendix 10 (as inserted by Correction Slip No. 147, dated **4th April 1953**, and subsequent amendments) to the Postal Financial Hand Book, Volume I (First Edition).

Rule 175. — Reporting Death Through Proper Channel

The death of any member of the Department should be reported **immediately** by the senior officer on the spot, through the regular channel, to the **Director-General** in the case of officers of the **gazetted establishment**, and in all other cases to the **authority by which the appointment was made**.

Rule 176. — Deleted.

Rule 177. — Reporting of Violent or Exceptional Deaths

When any member of the Department is **killed or severely wounded** or meets with **sudden or violent death** in any very exceptional circumstances, particulars connected with the occurrence should be **telegraphed** to the Director General and the Head of the Circle.

Rules 178, 178-A, 179, 180. — Cancelled / Deleted.

Contagious or Repulsive Diseases**Rule 181. — Contagious or Infectious Disease**

Any official in whose house **sickness of a contagious or infectious nature** (e.g., small-pox) occurs, must at once give notice of the fact to his immediate superior, who will then **put him off duty** and make arrangements for the performance of his work.

Rule 182. — Repulsive Disease

Any official suffering from a **repulsive disease** (e.g., leprosy) must report the fact to his immediate superior, who will then take steps to obtain **competent medical opinion** on the case. The case should also at once be reported to the **Head of the Circle** for orders.

Rules 183 to 190. — Deleted / Cancelled.

 QUICK REVISION SUMMARY — CHAPTER IV

Concept	Key Provision
Civil suit — prior D.G. sanction	Required before H.O.C. institutes or defends a suit (Rule 127)
Signing of complaints/written statements	All Gazetted Officers conversant with facts (Rule 127-A)
Officer personally sued for bona fide official act	Apply to bring Government on record as defendant (Rule 128)
Departmental proceedings vs. criminal proceedings	Should proceed simultaneously; not mutually exclusive (Rule 128-B)
Grave criminal offence	Prosecution is the rule , not exception (Rule 128-C)
Article 311(1)	No dismissal/removal by authority subordinate to appointing authority
Article 311(2)	Reasonable opportunity to show cause — mandatory ; failure renders order null and void
Cognisable offence — police information	After sanction of Superintendent / Sr. Superintendent / Head of Circle (Rule 130)
Non-cognisable offence — prosecution	Previous sanction of Head of Circle mandatory (Rule 133)
Officer appointed by D.G.	No criminal action without D.G.'s sanction (Rules 132, 134)
Hearing date — latest	Usually 14 days from institution of case (Rule 137)
Charges at one trial — same kind	Maximum 3 charges , committed within 12 months (Rule 138)
Fine application to court	Must be made before judgement (Rule 147)

Death of gazetted employee	Reported to D.G. immediately; others to appointing authority (Rule 175)
Contagious disease in official's house	Must report to immediate superior; official put off duty (Rule 181)
BNSS replaces Cr.P.C.	Effective 1st July 2024 — all Cr.P.C. section refs updated
BNS replaces IPC	Effective 1st July 2024
Post Office Act, 2023 replaces 1898 Act	Effective 18th June 2024 — postal offences provisions restructured

 KEY BNSS SECTION MAPPING FOR EXAM QUICK REFERENCE:

- CrPC 154 (FIR) = BNSS 173
- CrPC 155 (Non-cognisable) = BNSS 174
- CrPC 190 (Cognizance by Magistrate) = BNSS 210
- CrPC 301 (Appearance by Public Prosecutors) = BNSS 338
- CrPC 302 (Permission to conduct prosecution) = BNSS 339
- CrPC 357 (Order to pay compensation / application of fines) = BNSS 395
- CrPC 92 (Postal custody procedure) = BNSS 95

POSTAL MANUAL VOLUME II – GENERAL REGULATIONS

Part 3 – Chapter V: Security Deposits

✦ SCOPE OF THIS PART: Chapter V – Security Deposits (Rules 191 – 268)

This Chapter is divided into two Parts:

- **Part I** – Security Deposits of Employees (Rules 191–261)
- **Part II** – Security Deposits of Contractors (Rules 262–268)

KEY NOTE ON SECURITY AMOUNTS: The specific monetary amounts of security prescribed in this Chapter (e.g., **Rs. 10,000** for GDS SPM/BPM; **Rs. 5,000** for GDS Stamp Vendors and other GDS) are as they stand in the Fourth Revised Edition of the Manual. The Department of Posts revises security amounts from time to time by administrative orders. Officers are advised to verify the **current operative figures** against the latest circulars/orders issued by the Postal Directorate, as amounts may have been revised subsequent to the printing of this edition. The Gramin Dak Sevak (Conduct and Engagement) Rules, 2020 now govern GDS service conditions and any revision to GDS security amounts would be notified thereunder or by separate Directorate circular.

CHAPTER V

SECURITY DEPOSITS

PART I – SECURITY DEPOSITS OF EMPLOYEES

Classes of Officials Required to Give Security and Amount of Security

Rule 191. – Classes of Officials Required to Furnish Security

Owing to their pecuniary and other responsibilities, the following classes of officials are required to give security as **fixed from time to time by the Department** for the faithful

discharge of their duties. Any person whose responsibilities are unusually heavy may, at the discretion of the **Director-General**, be called upon to furnish a security for a larger amount.

(i) CIRCLE AND ADMINISTRATIVE OFFICES

- (a) Cashiers
 - (b) Managers, Assistant Managers and Office Assistants in Returned Letter Offices
 - (c) Group D Staff of Circle Office and Postal Store Depot who are employed to get cash from Post Office or who handle valuable articles of Stock
 - (d) Record Suppliers, Daftries and Selection Grade Daftries in Postal Stores Forms and Seals, Aligarh and other Postal Store Depots
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(ii) POST OFFICES AND R.M.S.

- (a) Departmental Sub-Postmasters — Single handed ('C', 'B' & 'A' Class Offices)
- (b) Treasurers / Assistant Treasurers
- (c) Cashiers in S.R.O. / H.R.O.
- (d) Sorting Assistants and Mail Guards
- (e) Head Postmen, Cash Overseers, Senior Postmen, and all officials who are specially required to convey or escort cash from one office to another or to and from a treasury or Sub-treasury

NOTE. — Postmen or other officials attached to sub-offices who may be required to convey or escort cash between a Sub-Office and a Sub-treasury need not furnish security for more than the prescribed amount, but in no case should they be entrusted with a larger sum of money than fixed for payment of money orders.

- (f) Mail Peons, Letter Box Peons, Van Peons, Packers, Departmental Runners and those Mailmen and Selection Grade Mailmen whose duties are analogous to those of Packers or who are required to convey or escort cash.
 - (g) Security amounts for GDS categories:
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Category	Amount of Security
GDS (Sub and Branch Postmasters)	Rs. 10,000
(i) Departmental Stamp Vendors	Rs. 10,000
(ii) GDS Stamp Vendors	Rs. 5,000
(iii) All GDS other than GDS SPM/BPM	Rs. 5,000

 **LEGISLATIVE NOTE:** The security amounts of **Rs. 10,000** (for GDS BPM/SPM and Departmental Stamp Vendors) and **Rs. 5,000** (for GDS Stamp Vendors and other GDS) are as specified in the Fourth Revised Edition of the Manual. These amounts are subject to revision by the Department of Posts from time to time. Officers should verify against the **latest Directorate orders** for any upward revision of these figures. The **Gramin Dak Sevak (Conduct and Engagement) Rules, 2020** govern the engagement and service conditions of GDS staff, and any revision to security amounts applicable to GDS would be notified under those Rules or by separate Directorate circular.

- **(h)** Office Assistants in Postal Store Depots, Kolkata & Nashik and Postal Stores Forms and Seals Depots, Aligarh.

(iii) GENERAL

- **(a)** Care-takers of Postal Offices / Installations / Buildings
 - **(b)** Compounders
 - **(c)** Cashiers in Postal Training Centres
 - **(d)** Cashiers in the Postal Store Depots
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Important Provision — Two-Third Rule: When the security is given in the form of a **security deposit of cash in Post Office Savings Bank**, or of **Government Promissory Notes**, or of **Post Office Certificates**, or in any combination of them, the amount of the security shall be **two-third (2/3rd)** of the amount of security mentioned above, unless otherwise specifically provided. These provisions are **not applicable** in the case of Stamp Vendors and GDS Delivery Agents who are required to furnish security.

Officials Exempted from Giving Security

Rule 192. — Three Categories of Exemption

(1) An official drawing a **pay equal to or above the amount as fixed by the Department** and having **20 years of service** may, at the discretion of the **Divisional Head**, be exempted from furnishing security — each case decided on its own merits.

(2) **Retired Government servants** temporarily employed as departmental sub- and GDS branch postmasters and Assistants, or in any other smaller posts such as postmen, mail peons, etc., may be exempted from furnishing security **only if they are in receipt of a pension**. Heads of Circles may also, at their discretion, employ such retired Government servants as **stamp vendors** without requiring them to furnish security.

(3) Heads of Circles may, at their discretion, **exempt any GDS or class of GDS** from the obligation to furnish security.

Amount of Security

Rule 193. — Determination of Amount

(1) The amount of security required will be as **fixed from time to time by the Department**, but any person whose responsibilities are unusually heavy may, at the discretion of the Director-General, be called upon to furnish a security for a **larger amount**.

(i) POST OFFICE — Personal Bond / Insurance Company / Postal Co-operative Society Form

The amount of security, when given in the form of a **personal bond with two sureties**, or of a bond furnished by an **Insurance Company**, or a **Postal Co-operative Society**, shall be as fixed from time to time by the Department in the case of:

- (a) all classes of postal servants (including candidates and GDS in post offices), with the exception of those in item (c) under Circle & Administrative Offices and items (g), (h), (i) and (j) under Post Office in Rule 191.

- (b) Head Postmen, and Overseers and others specially required to convey or escort cash between post offices or between a head office and a treasury or sub-treasury.
- (c) Postmen, village postmen, mail coachmen, mail peons, letter box peons, van-peons, packers, departmental runners, carpenters, and mailmen and Selection Grade Mailmen of the R.M.S. whose duties are analogous to those of packers.

NOTE. — Postmen or others attached to sub-offices who may be required to convey or escort cash between a sub-office and a sub-treasury need not furnish security for more than the prescribed amount, but in no case should they be entrusted with a larger sum of money than the amount fixed for this purpose. The Head of a Circle may raise this limit to a higher amount, provided a security of amount as prescribed by the Department is obtained from such officials likely to be entrusted with conveying cash.

- (d) Mailmen and Selection Grade Mailmen of the R.M.S. who are required to convey or escort cash between a Post Office and a Head Record Office should not be entrusted with a larger sum of money than the amount of security fixed by the Department to be given at a time.
- (e) Munshis in combined offices whose duties involve monetary responsibilities.
- (f) Whole-time attendants of R.M.S. rest houses and inspection quarters.
- (g) In departmental mail motor organisations — Office Assistants; Drivers, Mechanics and Cleaners.
- (h) Dak Sewaks — amount as prescribed by the Department, whether in the form of a personal or fidelity bond or in the form of a Post Office Savings Bank deposit, Government Promissory Notes or Post Office certificates.
- (i) GDS Delivery Agents who are authorised to deliver unpaid and insufficiently pre-paid articles, registered letters and parcels, and to pay money orders.

NOTE 1. — In cases of departmental officials working in the treasury branch of a post office involving higher monetary responsibilities, **no additional security** should be required for this purpose from them.

(2) When security is given in the form of a **security deposit of cash in the Post Office Savings Bank**, or of **Government Promissory Notes**, or of **Post Office certificates**, or in any combination of them, the amount of the security shall be **two-third (2/3rd)** of the

amount required for the same class of postal servant under a personal bond or Insurance Company/Postal Co-operative Society bond.

NOTE 1. — Provisions of sub-rule (2) above will **not be applicable** in the case of **GDS Delivery Agents** who are required to furnish security.

(3) In the case of **stamp vendors**, the amount of security shall be **twenty times** the stamp vendor's pay, subject to a **maximum amount as fixed by the Department**, in whatever form the security is furnished.

Nature of Security

Rule 194. — Forms of Security

The security given must be in one of the following forms:

- (a) A security deposit of cash in the **Post Office Savings Bank**.
- (b) A security deposit of **Government Promissory Notes or Post Office Certificates**.
- (c) A **personal bond with two sureties**.

If the security is in the form of a security deposit in the savings bank, it may be deposited by the officer himself or by **any other person or persons on his behalf**. Post Office Certificates may be accepted as security at their **issue price and not for their face value**. The security taken from **acting postmen and village postmen** must always be in the form of a **personal bond**.

Rule 195. — Combination of Forms (a) and (b)

The first two forms of security mentioned in Rule 194 may be **combined**. Under the general rule relating to security deposit accounts in the Post Office Savings Bank, the balance of such an account may never exceed the amount prescribed by the Department. It will not be possible, therefore, when the amount of the security required exceeds the prescribed amount, to adopt the form of savings bank deposit alone; but the security deposited in such a case must be either wholly in Government Promissory Notes or Post

Office Certificates, or both, or made up partly by a cash deposit in the savings bank and partly by a deposit of Government Promissory Notes or Post Office Certificates, or both.

Rule 196. — Insurance Company or Postal Co-operative Society as Surety

A thoroughly responsible **Insurance Company** or a **Postal Co-operative Society** approved by the Head of a Circle may be accepted as surety (without a second surety) of a departmental employee, GDS, or candidate for employment, provided the terms in the appropriate personal bond form are complied with. When security is furnished in this way, it will **not be necessary** for supervising officers to make the enquiries ordered in Rules 212–215.

Rule 197. — Instalment Payments for Cash / Promissory Notes / Certificates

When an employee furnishes security in form (a) or (b) of Rule 194, or both together, it will not be necessary for him to deposit the whole amount required at once. He may, to begin with, deposit any sum which is **not less than one-third (1/3rd)** of the amount of the security required, and make up the balance by contributions of **not less than one-sixth (1/6th) of his pay**, to be deducted from his pay and credited to a security deposit account in the savings bank.

When the security is furnished in cash by a person who is an **outsider** on behalf of the official, the **whole amount should be deposited** and payments by instalments should not be permitted.

In the case of **candidates and GDS** who desire to furnish security in cash or Government Promissory Notes or Post Office Certificates, **the whole amount must be deposited at once**.

Rule 198. — Deleted.

Rule 199. — Instalment Accounts Reaching Savings Bank Limit

In the case of a security deposit account to which sums are added by instalments, when the balance of the account amounts to such a sum that the addition of another instalment would raise it above the prescribed limit, the balance or a sufficient portion of it should be **withdrawn for the purchase of Government Promissory Notes or Post Office Certificates** through the Post Office, so as to admit of the deposit of further instalments. The G.P. Notes or PO Certificates so purchased must be **deposited as security** in place of the sum withdrawn. Interest on the security deposit will be added to the principal until the full amount of security required has been reached, after which the **interest will be paid to the depositor**.

Personal Bonds**Rule 200. — Requirements for a Personal Bond**

When an officer elects to furnish security by means of a **personal bond with two sureties**, the bond must be in the **form appropriate to the case**, and the sureties must **not** be:

- in the service of the Department;
- dependent on any departmental employee; or
- near relations of the principal;

unless they have **independent or self-acquired property** of their own.

Rule 200-A. — Change in Name of Officials or Sureties

When the name of an official who has furnished a security bond is changed, a note regarding the change including the new name should be made **on the bond** and attested by the **principal and the sureties**. A similar procedure should be followed when any of the sureties changes his name.

Rule 201. — Fresh Bond on Re-Employment After Dismissal

If an employee who has furnished a personal security bond is **re-instated after he has been dismissed**, he will be required when re-instated to furnish a **fresh personal security bond**.

Rule 202. — Fresh Security on Re-Employment After Resignation or Abolition of Post

Fresh security will have to be furnished by any person who, after resigning his post or after his services have been dispensed with for any cause including the **abolition of his post**, is re-employed — even temporarily — in a post in which security is required.

Rule 203. — Security on Promotion

An official who has once given satisfactory security will **not be called on to give further security** when promoted to a higher post; but when an officer appointed to a cash-conveying post has furnished a lesser amount, he will be required to furnish **further security** to bring the total up to the prescribed amount, **except** that, if the officer has rendered satisfactory service for **not less than 10 years**, he may, at the discretion of the Head of the Circle or Administrative Office, be exempted from furnishing further security. Although the responsibility may be increased on promotion, his past service and longer experience are held as equivalent to the additional security.

Rule 204. — Security Given by Sub-Postmasters on Promotion

The security given by sub-postmasters and Postal Assistants promoted to be Deputy Postmasters, Assistant Postmasters or Postmasters **holds good** on their promotion.

Rule 205. — Non-Security Group Officials Should Not Officiate Without Security

An official belonging to a Group from which security is not taken should not, if it can be avoided, be appointed to officiate for any length of time in a post belonging to a Group from which security is taken, **unless he has furnished security**.

Rule 206. — Head Postmaster Officiating in Security Post

A Head Postmaster who has not already furnished any security may be **exempted** from doing so, if, for special reasons, he is appointed to officiate in a post the holder of which is required to furnish security.

Rule 206-A. — Senior Postmen and Mail Guards — Exemption from Fresh Security

Senior postmen or mail guards who have been exempted from furnishing security may, at the discretion of the Head of the Circle, be exempted from furnishing fresh security when appointed permanently or in an officiating capacity as Postal or Sorting Assistants. Junior postmen with **less than 10 years' service** should when appointed permanently as Postal Assistants be required to furnish fresh security for the applicable amount, but the Head of Circle may at his discretion grant individual exemption for amounts beyond what was furnished as postman.

When such officials are **only temporarily promoted**, the **old bond may be allowed to continue**.

Rule 207. — Deleted.

Forms of Bonds

Rule 208. — List of Bond Forms in Use

(i) POST OFFICE — Government Promissory Notes / Post Office Certificates / Cash

Form	Executed by
Sec. 1	Deputy and Asst. Postmasters; Sub and GDS Branch Postmasters; Assistants in RLOs and POs; Record Officers; Accountants; Sorting Assistants; Mail Guards of RMS; Candidates
Sec. 2	Candidates
Sec. 3	Postal employees — Overseers, Mail Peons, Letter-Box Peons, Van-Peons, Packers, Porters, Carpenters, Coachmen required to convey/escort cash; Stampers and Peons in RLOs
Sec. 4	Postmen and Village Postmen
Sec. 5	GDS
Sec. 6	Jointly by a person depositing security on behalf of a Deputy/Asst. Postmaster, Sub or GDS Postmaster, Asstt., Record Officer, Accountant, Sorting Asstt. or Mail Guard, AND by the postal official/candidate himself
Sec. 7	Jointly by a person depositing security on behalf of a postman or village postman, AND by the postman/village postman himself
Sec. 8	Jointly by a person depositing security on behalf of a postal employee required to convey/escort cash or a Stamper/Peon in RLO, AND by the employee himself
Sec. 9	Stamp Vendors

II. Personal Security Bond

Form	Executed by
Sec. 10	Deputy/Asst. Postmasters; Sub and GDS Branch Postmasters; Assistants in RLOs and POs; Record Officers; Accountants; Sorting Assistants; Mail Guards of RMS; Candidates
Sec. 11	Candidates

Sec. 12	Postal employees required to convey/escort cash; Stampers; Peons in RLOs
Sec. 13	Postmen and Village Postmen
Sec. 14	Candidates, Postmen and Village Postmen
Sec. 15	Acting Postmen and Village Postmen
Sec. 16	Extra-Departmental Agents
Sec. 17	Stamp Vendors

Examination of Bonds

Rule 209. — Examination and Certification of Bond

In the case of security deposited in cash, G.P. Notes or PO Certificates, the officer concerned must examine the bond and see that:

- it is in the **correct form** and **properly executed**;
- the amount deposited initially is in accordance with **Rule 197**;
- in the case of a cash deposit, the **savings bank pass-book has been delivered** to the officer in charge for safe custody (Rule 227); and
- in the case of G.P. Notes or PO Certificates, they have been **endorsed and delivered over** or **formally transferred** to the proper authority (Rule 226).

Rule 210. — Certificate to Be Written on the Bond

On examination, the officer will write on the bond a certificate in one of the following forms:

When whole amount is deposited at once:

"Certified that this bond has been examined and found in order; and that I have satisfied myself that the amount of the security required, Rs. __, has been deposited — Rs. __ in PO Savings Bank, Rs. __ in GP Notes, Rs. __ in PO Certificates."

When first deposit is only part of the security:

"Certified that this bond has been examined and found in order; Rs. ____ has been deposited as first deposit — Rs. ____ in PO SB, Rs. ____ in GP Notes, Rs. ____ in PO Certificates. The balance of Rs. ____ must be recovered by instalments in accordance with the rules."

The officer must sign the certificate, adding his **designation and date**, then send the bond for custody to the appropriate officer.

NOTE. — In the case of security furnished by officers in **First Class Head Offices**, the **Postmaster** will perform the duties of examining the bond and recording the certificate.

Rule 211. — Signatures in Presence of Departmental Officer

When security is furnished in the form of a personal bond, the signatures of the **principal and sureties** must be affixed in the presence of **two witnesses**, one of whom must be a **departmental officer** other than the principal and, in the case of the Post Office, **above the rank of postman**. Both witnesses must sign the bond in evidence of having witnessed the signatures.

Enquiries as to Solvency of Sureties**Rule 212. — Preliminary Enquiry**

Before any personal bond is accepted, enquiries must be made to ascertain that the sureties are **substantial persons** — able without doubt to make good the sum in which they are bound — and that none of them is a **minor or of unsound mind**. Wherever practicable, enquiries will be made through the **local revenue authorities**.

Rule 213. — Memorandum of Enquiry

If the enquiry is satisfactory, the officer will draw up a **memorandum to be attached to the bond** showing the nature and results of enquiries. He will then write on the margin of the bond:

"Sureties satisfactory as per memorandum annexed"

— add his signature, office and the date, and forward the bond to the officer in charge of the office by whom the pay of the principal is drawn.

NOTE. — This rule applies also to personal security bonds of officials employed in First Class Head Offices when sureties live outside the station. When sureties live within the station, the **Postmaster must himself** make the enquiries.

Rule 214. — Sureties Outside Jurisdiction

When sureties reside outside the officer's jurisdiction, the bond will be sent to the officer of the Department under whose jurisdiction the sureties reside. After executing the bond and conducting the enquiry, the receiving officer will write the prescribed endorsement and **return the bond with the memorandum** to the officer under whom the principal is employed.

Rule 215. — Place of Enquiry

Enquiries as to solvency of a surety are best made at the **place of his residence**; but when a surety is temporarily away from his home, enquiries will also be made at his **home**.

Death, Insolvency or Withdrawal of Sureties

Rule 216. — Duty to Report Changes in Sureties

An official who has given security is bound to give **prompt information** if a surety dies, becomes insolvent, or **changes his residence**. Failure to report the death or insolvency of a surety when known to the principal will render the latter liable to **suspension and removal from service**.

Rule 217. — Annual Certificate — April — Form Sec. 39

Each year in the **month of April**, the officer in whose jurisdiction the officials who have furnished personal bonds are working will obtain from them a certificate in **Form Sec. 39** to the effect that the **sureties are alive and solvent**.

- Disciplinary action against any official who fails to return the certificate properly filled in within the date fixed.
- If a surety has changed his residence, the **new residence must be mentioned** in the certificate.
- Submission of a **false certificate** renders the principal liable to suspension and removal from service.
- These certificates will be kept on record for **two years only** — for the year to which they relate and the following year.
- Cases in which any surety is reported to be dead or no longer solvent must **immediately be reported** to the Head of the Circle or the Administrative Office.

NOTE 1. — Each officer will verify every year the existence and solvency of the sureties of at least **one bond** if the bonds within his jurisdiction do not exceed **40**, or **one bond for every 40 bonds** (or fraction thereof) if they exceed 40.

NOTE 2. — Certificates in respect of security bonds of officials promoted as Inspectors Posts or RMS or Office Supervisor/Asst. Supervisor (H.Q.) to Superintendents shall be obtained for a period of **one year** after their confirmation in the post.

Rule 219. — Fresh Security — Less Than Ten Years' Service

When a surety dies, becomes insolvent, withdraws, or a bond is lost, and the principal has **less than ten years' service**, the latter will be required to furnish **fresh security**.

Rule 220. — Discretion to Dispense With Fresh Security — Ten Years' Service or More

When a surety dies or becomes insolvent, or when a bond is lost, and the principal has **ten years' service or more**, fresh surety may, at the discretion of the Head of the Circle or

the Administrative Office, be **dispensed with** if the principal's past service has been satisfactory. Exemption should **not** be granted to officials who have been adjudged insolvent or who are **habitually indebted**.

Rule 221. — Withdrawal of Surety — Ten Years' Service

When a surety **withdraws** and the principal has ten years' service or more, an enquiry must be made to ascertain the cause of the withdrawal. If explained satisfactorily, fresh security may be dispensed with at the discretion of the Head of the Circle. If not explained satisfactorily, the case must be reported for orders.

NOTE. — Exemption from furnishing security granted under Rules 220 and 221 is **liable to be withdrawn** if the official subsequently becomes insolvent or indebted.

Rule 222. — Refund Not Before Six Months After Death / Insolvency / Withdrawal

In a case where security is deposited in cash or G.P. Notes or PO Certificates on behalf of an employee, the amount must **not be refunded** until after the expiry of **six months** from the date of death or insolvency, or from the date of the notice of withdrawal.

Rule 223. — Rules 216–222 Apply to Bonds Kept in H.O.C. Office

Rules 216 to 222 apply also to the bonds of postmasters and inspectors which are kept in the office of the Head of the Circle.

EXCEPTION (1). — Rules 216–222 do **not apply** to bonds of **Insurance Companies** and **Postal Co-operative Societies**. When such a Company or Society gives notice of lapse or withdrawal, the principal should be required to provide fresh security unless he has **15 years' service or more**, in which case further security may be dispensed with if his past service has been satisfactory.

EXCEPTION (2). — Rules 220 and 221 do **not apply** to GDS.

Rule 224. — Head of Circle May Call for Other Personal Security at Any Time

The Head of the Circle or the Administrative Office may, **at any time**, call upon any official who has furnished personal security to furnish **other personal security** in lieu of it.

Pledge of the Security**Rule 225. — Pledging to Appointing Authority**

The security deposit account in a Post Office Savings Bank, PO Certificates or Government securities should be **pledged by the official to the appointing authority**, if of Gazetted status. Where the appointing authority is a non-Gazetted Officer, the securities should be pledged to his **immediate superior of Gazetted status**. In addition to the security deposit form, the official must execute a **bond in the appropriate form**.

Rule 226. — Government Securities — Financial Handbook Rules Apply

The rules regarding the deposit of Government securities by employees of the Department will be found in the **Posts and Telegraphs Financial Handbook, Volume I**.

Pass-Books of Security Deposit Accounts**Rule 227. — Custody of Pass-Books**

All pass-books appertaining to security deposit accounts of employees will be kept by the **officer in charge of the office by whom the pay of the depositors is drawn**, locked in a **tin box** with the security bonds to which they relate, the number of each account being entered in the **Register of Bonds (Form Sec. 19)**. In offices where security deposits are deducted in monthly instalments from pay, an additional register should also be maintained in **Form A.C.G. 43**. Depositors will, at all times, be at liberty to **call for and examine their pass-books**.

Rule 228. — Transfer of Pass-Books on Permanent Transfer

When an employee is **permanently transferred**, the office in whose custody the savings bank pass-books are kept will arrange, where necessary, to have them **transferred to the proper office**.

Rule 229. — Interest — Employee to Apply Directly; Pass-Book to Be Presented After 15th June

The Department will have nothing to do with payment of interest, for which the depositor will apply to the savings bank direct. The officer in whose custody pass-books are kept must see that pass-books are presented at the post office **as soon as possible after the 15th June each year** in order that the necessary entries about interest may be made.

Refund of Security Deposit**Rule 230. — Conditions for Refund**

When an application is received for the refund of the balance at credit of a security deposit account in the savings bank, the authority to whom the account is pledged may authorise the refund after satisfying himself that the **Department has no claim** against the employee. In no case should a refund be authorised before the expiry of **six months** after the vacation of his office by the employee.

NOTE. — If the official concerned vacates office and proceeds on **leave preparatory to retirement**, the period of **6 months** should be calculated from the **date of commencement of such leave**.

Rule 231. — Deleted.

Custody of Security Bonds

Rule 232. — Joint Custody — Postmaster and Accountant

All accepted bonds, duly endorsed by the Superintendent or First Class Postmaster, will be kept by the **postmaster of the head post office** who draws the pay of the officials. All bonds will be entered in the prescribed **Register (Form Sec. 19)** and kept in **steel or iron sheet almirahs** in the **joint custody of the Postmaster and the Accountant**.

If the surety is a Co-operative Society, Insurance Company or an organisation of such companies, the official should furnish a **declaration agreeing to the deduction of premia** due on the bonds from their pay or leave salary. The Postmaster should ensure that all bonds in his custody are **current** and premia due thereon are paid on due dates.

Rule 233. — Deleted.

Rule 234. — Forwarding Bond on Permanent Transfer

When an official is **permanently transferred**, the officer in charge will forward the bond to the proper office in a **registered cover**, make a note against the entry in the register, and the bond should **invariably accompany the transferred official's last pay certificate**.

Rule 235. — Certificate on Temporary Transfer

When an official is **temporarily transferred**, the former office will forward to the latter office a **certificate** stating that the official's security bond is on record there. The **amount of the security bond must be mentioned** in the certificate.

NOTE 1. — The bond of an official promoted to be a Head Postmaster (permanent or officiating) will be deposited with his immediate superior and **retained there even if he reverts**.

NOTE 2. — If a security bond has been furnished but is not yet on record, the pay due must not be allowed to remain undrawn. A pencil entry should be made in the register

register against names of officiating persons who have furnished bonds not yet received. When the bond is received, the pencil entry will be erased and the particulars entered in the usual way.

Custody of Post Office Certificates Deposited as Security

Rule 236. — Forwarding to Head Postmaster

PO Certificates pledged as security will be made over or sent for custody to the **Head Postmaster** by whom the depositor's pay is drawn. If tendered at a sub or branch office, a **preliminary receipt** will be granted and the certificates sent to the head or account office. The Head Postmaster will grant a **formal acknowledgement** in exchange for the preliminary receipt and intimate receipt to the **Divisional Superintendent**.

NOTE. — PO Certificates pledged by officials promoted to **Head Postmaster or Inspector** will be sent for custody to the **office of the Head of the Circle** along with the security bond on confirmation.

Rule 237. — Locking Up of Certificates with Bonds

PO Certificates must be locked in a **tin box** with the security bonds to which they relate, after entering particulars in the register. The box should be kept in the **office safe**.

Rule 238. — Transfer of Certificates on Transfer of Depositor

When the depositor is transferred to another head office, the PO Certificates and security bond will be forwarded in a **registered cover** to the new head office, with a note in the register.

Rule 239. — Deleted.

Alteration of Form of Security

Rule 240. — Replacing Personal Bond with Cash / GP Notes / PO Certificates

Security furnished in the form of a personal bond with sureties may be replaced at any time by a deposit of **not less than two-thirds (2/3rd)** of the amount applicable in those forms. If the whole amount is not deposited at once, the balance must be made up by instalments of **not less than one-sixth (1/6th)** of the employee's pay.

Rule 241. — Encouraging Private Savings to Replace Personal Bonds

Officials who have furnished personal bonds with sureties should be **encouraged but not compelled** to open private savings bank accounts with a view to replacing the bonds in the manner described in Rule 240 when the necessary amount has been accumulated.

Rule 242. — Substituting Personal Bond for Cash Deposit

If an official wishes to **substitute a personal bond** for a security deposit in cash or GP Notes or PO Certificates, he should give **six months' notice** in writing. The deposit will **not be refunded** until after the expiry of **six months** after the personal bond comes into effect. If he has **ten years' service or more**, the Head of the Circle may, at his discretion, exempt him from furnishing fresh security in the form of a personal bond, provided his past service has been satisfactory.

Disposal of Withdrawn Bonds

Rule 243. — Preservation for Five Years

When a personal bond is replaced or withdrawn from any cause, the bond should be **preserved for five years** and may then be **destroyed**. No endorsement of any kind must be made on the bond. The same course will be followed in the case of a bond relating to security deposit in cash or Government securities when the deposit is returned.

Rule 244. — Note of Disposal in Register

A note showing how the bond has been disposed of will in every case be written by the officer in whose custody the bond remains against the entry in the **register**.

Rule 245. — Executing Fresh Bond Within Notice Period

When a surety gives notice to terminate his suretyship, the necessary enquiries should at once be commenced. If the fresh bond is to be executed within the period of notice, the following sentence should be added to the body of the bond:

"The conditions of this bond shall take effect on and from the (date of termination of period of notice)."

— and against this addition the principal and the sureties should be required to place their signatures.

Rule 246. — Deleted.

Procedure When Official Dies, Leaves the Department or is Promoted to a Non-Security Post**Rule 247. — Procedure on Vacation of Security Post**

When an official who has given security **dies, is promoted to a non-security post, or leaves the Department:**

- **(a)** The bond will be preserved for **5 years**. At the end of 5 years it should be examined whether further retention is needed, in view of the fact that the **period of limitation in case of breach of the bond's terms is 30 years** from the date of such breach. A note showing how the bond has been disposed of should be written against the relevant entry in the register.
-

- (b) If the security is in the form of a security deposit in the savings bank, GP Notes or PO Certificates, the return of the deposit will **not be authorised** until after the lapse of **six months**.
- (c) The security bond of an official promoted as Inspector (Posts), RMS, or Office Supervisor / Asst. Supervisor (H.Q.) to Superintendent of Post Offices should be preserved in the Head Office or Head Record Office for **one year after his confirmation**.

NOTE. — If the official vacates office and proceeds on **leave preparatory to retirement**, the period of **6 months** should be calculated from the **date of commencement of such leave**.

Rule 248. — Deleted.

Persons Whose Security is Inadmissible

Rule 249. — Professional Money-Lenders; Soldiers; Ladies as Sureties

- Security of **professional money-lenders** should on no account be allowed.
- **Soldiers** should not be made sureties in security bonds.
- It is also not advisable to accept ladies as sureties if any male surety can be obtained, unless the ladies are single or widows.  **NOTE FOR EXAM ASPIRANTS:** This provision reflects historical language from the original Manual. Such a gender-based restriction may be constitutionally questionable under Articles 14 and 15 of the Constitution of India (Right to Equality and Prohibition of Discrimination on grounds of sex). No formal amendment has been issued, but its enforceability in current practice is doubtful.

Appointment to Posts Requiring Security

Rule 250. — No Appointment Without Prior Security

No candidate — whether outsider or departmental — may be appointed even temporarily to a post for which security is required unless and until he has furnished the required security.

Where no such candidate is available, the appointing authority may appoint temporarily a candidate who has agreed in writing to furnish security within:

Type of Candidate	Normal Time Limit	Extension Permissible
Outside candidate	1 month	Further 3 months (Head of Circle)
Departmental candidate (confirmed)	3 months	Further 6 months (Head of Circle)

If the candidate fails to furnish the required security within the stipulated period, he shall be discharged or reverted, as the case may be.

No candidate shall be appointed permanently from a date earlier than the date on which he furnished satisfactory security.

Rule 251. — Rule 250 Applies to Additional Security Under Rule 191

Rule 250 applies equally also to a postal employee required to furnish an additional security under clause (h) of Rule 191(ii) Post Office.

Rule 252. — Declaration to Be Obtained

An official confirmed in a permanent post who is required to furnish fresh security under Rule 219 shall not be allowed to hold or continue to hold charge of a sub or branch office until the fresh security is furnished, and shall, if he fails to furnish it within the time allowed, be liable to suspension and removal from service. A declaration accepting such

liability should be obtained by the appointing authority. The declaration should be in the following form:

"I hereby declare that I have read Rule 252 of the Postal Manual, Volume II, and clearly understand that I become liable to the provisions and penalties prescribed therein."

NOTE. — A similar declaration should also be obtained from **GDS** at the time of their appointment to posts requiring security. Such declarations when obtained should be kept with their security bonds.

Rule 253. — Description of Bond to Be Specified in Appointment Order

In making any appointment to a post requiring security, the officer making the appointment should specify the **description of bond or agreement required** and specifically state in the **order of appointment** whether the person appointed has furnished security or not.

Rules 254, 255, 256, 257. — Cancelled.

Forfeiture of Security Deposits

Rule 258. — Grounds for Forfeiture

The security furnished by an employee will be liable to **forfeiture** at the discretion of the Director-General or other officer duly authorised by him, in the event of the employee:

- quitting the service **without properly accounting** for all moneys, stores and valuables in his custody and without satisfactorily adjusting his accounts; or
- quitting service **without permission**; or
- quitting service **without giving at least three months' notice**.

Rule 259. — Procedure for Forfeiture

When the whole or part of the security deposit of an official is to be forfeited, the form of security bond must be sent to the **Head of the Circle or the Administrative Office** for necessary action, with full particulars of the grounds on which forfeiture is recommended. When the whole of a security deposit in the savings bank has to be credited to Government, the whole amount should be drawn out of the savings bank and brought into the cash account, stating in the entry how much is in the adjustment of objections, advances, etc., and how much is forfeited to Government. When only a **part** of the deposit has to be credited to Government, that part only will be drawn and treated in the same way.

Unclaimed Deposits**Rule 260. — Credit to Government After Three Years**

Deposits of employees that remain **unclaimed for three years** after their refund becomes admissible are to be **credited to Government** under the head "**Miscellaneous Revenue**".

Rule 261. — Refund After Credit to Government

When such a deposit is afterwards claimed, a full explanation of the circumstances must be submitted by the claimant to the **Director-General**, who may authorise refund. Heads of Circles or the Administrative Office and Divisional Engineers are responsible for the due disposal of all unclaimed deposits and should maintain a record in **Form Sec. 28**.

PART II — SECURITY DEPOSITS OF CONTRACTORS**Rule 262. — Financial Handbook Rules Apply**

The rules regarding security deposits of contractors will be found in the **P. & T. Financial Hand Book, Volume I**.

Rule 263. — Deleted.

Rule 263/1. — Custody of PO Certificates of Contractors

PO Certificates pledged as security by contractors will be made over or sent for custody to the **officer by whom payments are usually made to the contractors**. He will also keep **copies of all agreements**, the originals being kept in the custody of the **officer executing the contracts**.

Rule 263/2. — Savings Bank Pass-Books of Mail Contractors

Savings bank pass-books relating to securities furnished by **mail contractors** should, in the first instance, be received by the **Head of the Circle**, who should forward them, after scrutiny, for safe custody to the **head post offices** concerned which draw and disburse the subsidy of the contractors.

Rule 263/3. — Deleted.

Rule 264. — Stamp Duty on Security Bonds of Contractors

Security bonds furnished by contractors must bear the **stamp prescribed by law**. The stamp on a security bond is payable by the **party executing it** and not by Government. All agreements entered into by contractors for the execution of work or for securing the due performance of contracts are **exempt from stamp duty**.

NOTE. — This exemption does not include **agreements for conveyance of mails** executed by the mail contractors. Such agreements must be stamped in accordance with the provisions of the **Indian Stamp Act**, as amended by the State Governments.

 **LEGISLATIVE NOTE:** The Indian Stamp Act, 1899 continues to remain in force, as amended by the **Indian Stamp (Amendment) Act, 2023**. The Indian Stamp (Collection of Stamp Duty through Electronic Means) Rules, 2020 introduced provisions for electronic

payment of stamp duty. Officers should verify the applicable stamp duty rates under the current State Stamp Act or the Central Act as amended, applicable to the jurisdiction of the contract.

Rule 265. — Unclaimed Contractor Deposits

Deposits of contractors that remain **unclaimed for three years** after their refund becomes admissible (e.g., after a contractor fulfils his contract), should be dealt with in accordance with the provisions contained in **Rules 260 and 261**.

Rules 266, 267, 268. — Deleted.

✓ QUICK REVISION SUMMARY — CHAPTER V

Concept	Key Rule / Data Point
GDS BPM / SPM security amount	Rs. 10,000 (Rule 191)
Departmental Stamp Vendors security	Rs. 10,000 (Rule 191)
GDS Stamp Vendors security	Rs. 5,000 (Rule 191)
All other GDS (not BPM/SPM)	Rs. 5,000 (Rule 191)
Two-third rule (savings/GP Notes/PO Certs)	Security = 2/3rd of bond amount
Two-third rule — exceptions	Not applicable: Stamp Vendors, GDS Delivery Agents
Initial instalment — minimum	1/3rd of required security (Rule 197)
Instalment deduction from pay	Not less than 1/6th of pay (Rule 197)
Candidates and GDS — instalment	Whole amount at once (Rule 197)

Insurance Company / Postal Co-op as surety	Single surety sufficient; no need for 2nd surety (Rule 196)
Insurance Company / Postal Co-op — fresh bond dispensed	Only if 15 years' service (Rule 223, Exception 1)
Stamp vendor security formula	20 times stamp vendor's pay (subject to Department's maximum)
Exemption from security — condition	Pay $\geq$ Department's fixed amount AND 20 years' service (Rule 192)
Retired pensioner stamp vendor	H.O.C. may exempt without security (Rule 192)
Fresh bond — dismissal and reinstatement	Always required (Rule 201)
Fresh bond — resignation / abolition of post	Always required (Rule 202)
Promotion — fresh security	Generally not needed; except cash-conveying posts where 10 years' service threshold applies (Rule 203)
Annual certificate of sureties	Month of April ; Form Sec. 39 (Rule 217)
Annual certificate — preserved for	2 years (Rule 217)
Annual verification of bonds by officer	At least 1 bond for every 40 bonds (Rule 217, Note 1)
Fresh security — less than 10 years' service	Mandatory (Rule 219)
Fresh security dispensed — 10+ years' service	H.O.C. discretion (Rules 220, 221)
Exemption liability withdrawn if	Official becomes insolvent or indebted later
GDS — Rules 220 and 221	Do not apply (Rule 223, Exception 2)
Refund — not before	6 months after vacation of office (Rule 230)
Refund timing — leave preparatory to retirement	6 months from date of commencement of such leave

Withdrawn bonds — preserved for	5 years (Rule 243)
Bonds of officials leaving service — preserved	5 years ; limitation period for breach = 30 years (Rule 247)
Inspector/Supervisor bond preserved in HOC	1 year after confirmation (Rule 247)
Unclaimed deposits — credited to Government	After 3 years under "Miscellaneous Revenue" (Rule 260)
Refund after credit to Government	Authorised by Director-General (Rule 261)
Forfeiture — without notice	Requires at least 3 months' notice before quitting (Rule 258)
Professional money-lenders as sureties	Not permitted (Rule 249)
Soldiers as sureties	Not permitted (Rule 249)
Outside candidate — time to furnish security	1 month (extensible by 3 months by H.O.C.) (Rule 250)
Departmental candidate — time to furnish security	3 months (extensible by 6 months by H.O.C.) (Rule 250)
Bond forms for GDS	Sec. 5 (cash/GP Notes/PO Certs); Sec. 16 (personal bond for ED Agents)
Joint custody of bonds	Postmaster and Accountant (Rule 232)

POSTAL MANUAL VOLUME II – GENERAL REGULATIONS

Part 4 – Chapter VII: Forged, Counterfeit and Defaced Postage Stamps, Coins and Currency Notes

✦ **SCOPE OF THIS PART:** Chapter VII – Forged, Counterfeit and Defaced Postage Stamps, Coins and Currency Notes (Rules 386 – 404/2)

⚠ **CRITICAL STATUTORY OVERHAUL – EFFECTIVE 1ST JULY 2024**

This Chapter is among the most extensively impacted by the **2024 Criminal Law Reforms**. All three foundational statutes cited in the original Manual have been replaced:

Old Law	New Law	Effective Date
Indian Penal Code, 1860 (IPC)	Bharatiya Nyaya Sanhita, 2023 (BNS)	1st July 2024
Code of Criminal Procedure, 1973 (CrPC)	Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)	1st July 2024
Indian Post Office Act, 1898	Post Office Act, 2023 (Act No. 43 of 2023)	18th June 2024

Complete IPC → BNS Section Mapping for this Chapter:

Offence	Old IPC Section	New BNS Section
Counterfeiting Government stamp / coin / currency	255	178
Using as genuine a forged / counterfeit stamp / coin / currency	260	179
Possession of forged / counterfeit stamp / coin / currency	259	180
Making / possessing instruments for counterfeiting	257	181
Effacing writing from substance bearing Government stamp	261	183

Using Government stamp known to have been before used	262	184
Erasure of mark denoting stamp has been used	263	185
Prohibition of fictitious stamps	263A	186
Theft	378	303
Criminal breach of trust by public servant	409	316(2)
Dishonestly receiving stolen property	411	317

Complete CrPC → BNSS Section Mapping for this Chapter:

Purpose	Old CrPC Section	New BNSS Section
Procedure for documents/parcels in postal custody	92	95
Taking cognizance of offences by Magistrate	190(1)(a), (c)	210
Non-cognisable cases — police investigation	155	174
First information to police (FIR)	154	173
Expert examination of currency notes in court	292	398

RBI Master Direction on Counterfeit Notes, 2025 (effective 1st April 2025, updated from the 2024 Master Direction) specifically references **BNS Sections 178–182** and **BNSS Section 398** as the operative statutory framework for forged currency offences — confirming the complete transition from the IPC/CrPC regime.

CHAPTER VII

FORGED, COUNTERFEIT AND DEFACED POSTAGE STAMPS, COINS AND CURRENCY NOTES

SECTION I – FORGED, COUNTERFEIT, FICTITIOUS OR WASHED POSTAGE STAMPS (ORDINARY AND SERVICE) AND MISUSE OF SERVICE STAMPS

Extent of Application

Rule 386. — Statutory Basis: Postage Stamps as Government Revenue Stamps

Under **Section 4 of the Post Office Act, 2023 (Act No. 43 of 2023)**, postage stamps and impressions of stamping machines issued under the authority of the Central Government retain their character as **instruments of Government authority**. The Director General of Postal Services is empowered to make regulations on various matters including the issuance of postage stamps.

The expression "**postage stamps**" includes the impression of a stamping machine authorised to be used in prepayment of postage or other charges on postal articles.

 **LEGISLATIVE NOTE:** The original Rule 386 cited Section 17 of the Indian Post Office Act, 1898 (VI of 1898), which deemed postage stamps to be "stamps issued by Government for the purpose of revenue within the meaning of the Indian Penal Code." The Indian Post Office Act, 1898, has been **repealed** by the **Post Office Act, 2023**, which came into force on **18th June 2024** vide S.O. 2352(E). The IPC has been **replaced** by the **Bharatiya Nyaya Sanhita, 2023 (BNS)**, effective **1st July 2024**. Under **BNS Section 186(4)**, in the context of postage stamps, the word "Government" is deemed to include the person or persons **authorised by law to administer executive Government** in any part of India or in any foreign country — preserving the substance of the old provision. The statutory basis for treating postage stamps as Government revenue stamps is now read from **Section 4 of the Post Office Act, 2023** and **BNS Chapter X** (Sections 178–186).

Cases Which Are Not Offences

Rule 387. — Previously Used Stamps and Service Stamps Without Removal of Marks

If a **previously used postage stamp**, from which, however, **no attempt has been made to remove the marks of obliteration**, is detected on an article already posted, or if a **service stamp** from which no attempt has been made to remove the letters denoting service is detected on a private article posted, the stamp should be **ignored**. In either case, the article should be charged with the postage to which it thus becomes liable and forwarded to destination with a remark on it stating the reason for the charge. A note of the occurrence should be made in the **error book** in the case of post offices, or in the **note-book** in the case of Railway Mail Service mail offices.

If an article, document or telegraph message bearing such stamps is **handed in at the window**, it should be returned to the person who presented it, with the remark that a previously used postage stamp, or a service stamp affixed on a private article, cannot be recognised in payment of postage or any other charge.

Rule 388. — Service Stamps on Government-Certified Private Letters — Not a Criminal Offence

The prepayment by means of **service stamps** of a private letter which is certified by a Government official to be "*On India Government Service*" or "*On Service*" is **not a criminal offence**, but steps should be taken to have the matter dealt with **departmentally**.

Offences

Rule 389. — Table of Offences and Applicable Penal Provisions

The offences and the sections of the **Bharatiya Nyaya Sanhita, 2023 (BNS)** under which each offence is punishable are noted below:

 **LEGISLATIVE NOTE:** The original rule cited Indian Penal Code sections. All IPC references have been substituted with the **corresponding BNS sections**, effective **1st July 2024**. The BNS has **consolidated** the earlier multiple IPC stamp-related sections (255–

263A) under a streamlined Chapter X (Sections 178–186). Substantive law on punishment is **retained** with updated statutory references.

Sl.	Offence	Applicable BNS Section	Description
(i)	Postage stamp – forged, counterfeit or fictitious (see BNS Section 2 – "counterfeit")	BNS Section 178	Counterfeiting a Government stamp, coin, or currency note; punishable under the relevant sub-section of BNS 178 – imprisonment for life, or imprisonment which may extend up to 10 years, and fine. (Note: BNS 178 consolidates multiple offences previously covered under IPC Sections 255, 256, 489A–489D into a single provision with graduated sub-sections.)
		BNS Section 179	Using as genuine a Government stamp known to be counterfeit; punishable with imprisonment for life, or up to 10 years , and fine
		BNS Section 186	Using knowingly for any postal purpose any fictitious stamp; punishable with fine up to Rs. 200
(ii)	Stamp from which previous obliteration has been washed out or otherwise removed or concealed	BNS Section 184	Using a Government stamp known to have been before used; punishable with imprisonment up to 3 years , or fine, or both
		BNS Section 185	Erasure of mark denoting that stamp has been used; punishable with imprisonment up to 3 years , or fine, or both

(iii)	Service stamp with the letters denoting service or the word "Service" removed	BNS Section 178 & BNS Section 179	See entry against item (i)
		BNS Section 303	Theft
		BNS Section 316(2)	Criminal breach of trust by public servant
		BNS Section 317	Dishonestly receiving stolen property

NOTE on BNS Section 186 – Prohibition of Fictitious Stamps: A person commits an offence under **BNS Section 186** who –

- (a) makes, knowingly utters, deals in or sells any fictitious stamp, or **knowingly uses for any postal purpose** any fictitious stamp;
- (b) has in his possession, without lawful excuse, any fictitious stamp; or
- (c) makes or, without lawful excuse, has in his possession any **die, plate, instrument or materials** for making any fictitious stamp.

Such stamp, die, plate, instrument or materials may be **seized and, if seized, shall be forfeited.**

"Fictitious stamp" means any stamp **falsely purporting to be issued by Government** for the purpose of denoting a rate of postage, or any **facsimile, imitation or representation**, whether on paper or otherwise, of any stamp issued by Government for that purpose.

Under **BNS Section 186(4)**, in this section and in Sections 178–181 and 183–185, the word "Government", when used in connection with any stamp issued for the purpose of denoting a rate of postage, shall be deemed to include the person or persons **authorised by law to administer executive Government** in any part of India or in any foreign country.

Action to Be Taken on Detection

Rule 390. — Procedure When Suspicious Stamp Is Detected

When any stamp of the kind referred to in Rule 389 is detected on a postal article passing through the post, or on a postal article, document or telegraph message presented at a post or telegraph office, the following action should be taken:

(i) If Detected in a Post Office at the Headquarters of a District

The **officer-in-charge** of the office should detain the article or document and at once lay information before any **Magistrate of First Class** or any **Magistrate of Second Class specially empowered** in this behalf under **Section 210 of the BNSS** (corresponding to Section 190(1)(c) of the old CrPC) as to the offence which has been committed, and ask him to take steps to obtain possession of the article, document or telegraph message under **Section 95 of the BNSS** (corresponding to Section 92 of the old CrPC).

 **LEGISLATIVE NOTE: Section 95 of the BNSS, 2023** replaces **Section 92 of the CrPC, 1973** for the procedure as to documents/parcels/things in the custody of the postal authority. Under Section 95(1) BNSS, if any document, parcel or thing in the custody of a **postal authority** is, in the opinion of the **District Magistrate, Chief Judicial Magistrate, Court of Session or High Court**, wanted for the purpose of any investigation, inquiry, trial or other proceeding, such Magistrate or Court may require the postal authority to **deliver** such document, parcel or thing to such person as the Magistrate or Court directs. Under Section 95(2), any other Magistrate (executive or judicial), **Commissioner of Police** or **District Superintendent of Police** may require the postal authority to **search for and detain** such document, parcel or thing pending the orders of the authorities mentioned in sub-section (1).

If the Magistrate of the District is away from the station, **intimation may be given to any Magistrate** or to the **District Superintendent of Police or Police Commissioner** with a suggestion that he should authorise the detention of the article, document or the telegraph message under **Section 95(2) of the BNSS**, pending the orders of the Magistrate, in cases where the Magistrate in whose jurisdiction the offence is detected, declines to take cognizance on the ground that the offence was not committed within the

local limits of his jurisdiction. He should be asked to communicate the information to the Magistrate competent to deal with the case.

Important Note: The article, document or telegraph message is **NOT to be delivered** to the Magistrate or to the Superintendent of Police or Police Commissioner, but merely information is to be given regarding it with a view to the issue of the necessary order by the Magistrate. There is, however, **no prohibition** against the production of the article, document or the telegraph message, if necessary, for the **Magistrate's inspection** prior to the issue of any order.

Pending receipt of the orders applied for, the article, document or the telegraph message may be **provisionally detained**, and full particulars of the case should be reported at once to the **Head of the Circle** or to the Superintendent to whom the office is immediately subordinate, who will take such steps as the circumstances may require.

(ii) If Detected in a Post Office NOT at District Headquarters, or in a Mail Office

The officer-in-charge of the office should send the article, document or telegram concerned, together with a **report of the circumstances** of the case in a **service registered cover**, to the officer-in-charge of the **post office situated at the headquarters of the district** and at the same time forward a **copy of the report** to the Head of the Circle or to the Superintendent to whom he is immediately subordinate.

(iii) If the Article, Document or Message Was Handed in at a Post or Mail Office

The **name and address of the person who presented it** should be ascertained and he should be informed that it will be detained for enquiry. Information of the occurrence should also be given at once to the **police** in order that they may, if necessary, take action under **Section 173 of the BNSS** (corresponding to Section 154 of the old CrPC — FIR). If the article is one for which a receipt would ordinarily be granted (e.g., a **registered letter** or **telegraph message**), instead of the usual receipt, a **manuscript receipt** bearing the date-stamp of the office should be given, to the effect that the article is detained for enquiry as it bears a suspicious stamp.

NOTE. — Under **Section 210(1)(a) of the BNSS** (corresponding to Section 190(1)(a) of the old CrPC), a Magistrate may take **cognizance of an offence** whether the person who committed it is **known or unknown**.

SECTION 95 OF THE BNSS – For Ready Reference

(Corresponding to Section 92 of the CrPC, 1973)

95(1). If any **document, parcel or thing** in the custody of a **postal authority** is, in the opinion of the District Magistrate, Chief Judicial Magistrate, Court of Session or High Court, wanted for the purpose of any investigation, inquiry, trial or other proceeding under this Sanhita, such Magistrate or Court may require the postal authority to **deliver** such document, parcel or thing to such person as the Magistrate or Court directs.

95(2). If any such document, parcel or thing is, in the opinion of any other Magistrate (whether executive or judicial), or of any **Commissioner of Police** or **District Superintendent of Police**, wanted for any such purpose, he may require the postal authority to **cause search to be made for and to detain** such document, parcel or thing, **pending the orders** of any such District Magistrate, Chief Judicial Magistrate or Court under sub-section (1).

 **LEGISLATIVE NOTE:** A significant change in the BNSS from the old CrPC Section 92 is the **exclusion of telegraph authority** from Section 95 BNSS (the word "telegraph" has been removed, as noted in the BPRD Comparison Summary). Section 95 BNSS applies only to the **postal authority**. Telegraph-related matters are now governed under the relevant telecommunications legislation.

Rule 391. – Suspicious Stamp Detected at an Intermediate Office or in a Mail Office

If a suspicious stamp is detected on any article or document received in a post office which is **not the office of posting or destination** but an **intermediate office**, or received in a section or a mail office, the article should be forwarded, enclosed in an **envelope**, to the **postmaster of the office of destination** (irrespective of whether either the detecting office or the office of destination is situated at the headquarters of a district). When putting the article into the envelope, a note should be made drawing the attention of the office of delivery to the suspected offence. **Outward foreign mail articles** should, however, be returned to the office of posting or sent to the office of exchange (if the stamp impression of the office of posting is illegible on the cover), which will take action as prescribed in Rule 390.

Rule 392. — Irregularity Detected at Office of Delivery

If an article, document or telegraph message bearing a suspicious stamp is received in a post office in the circumstances mentioned in Rules 390(ii) and 391, it should be dealt with **as if the irregularity was detected in that office.**

Rule 393. — Poster Not Necessarily the Offender

It must be borne in mind that the **poster of an article bearing a forged, counterfeit or fictitious stamp** — or a stamp from which a previous obliteration has been removed or concealed — is **not necessarily the person guilty of the suspected fraud**, as he may be able to show that his purchase of the stamp was a **bona fide** one. In some cases there has been reason for suspecting that a stamp that is forged, counterfeit or fictitious, or from which a previous obliteration has been removed, has been affixed to an article posted with the **object of causing annoyance to some innocent person** whose name has been used in a fictitious letter inside. But in such cases it is equally necessary to use every endeavour to discover the **real perpetrator of the fraud.**

Rule 394. — Removal of Marks from Service Stamps by Government Official — Criminal Breach of Trust

A Government official entrusted with service stamps for the prepayment of official correspondence, who may **remove the marks upon them by erasure**, would — in addition to the penalty of such act — be chargeable with **criminal breach of trust** under **BNS Section 316(2)** (corresponding to Section 409 of the old IPC — criminal breach of trust by a public servant).

 **LEGISLATIVE NOTE: IPC Section 409** (Criminal breach of trust by a public servant) is replaced by **BNS Section 316(2)**, effective **1st July 2024**. The punishment under BNS Section 316(2) for criminal breach of trust by a public servant is imprisonment for life, or imprisonment of either description for a term which may extend to **10 years**, and fine.

Inward Foreign Mail Articles Bearing Counterfeit, Fictitious or Previously Used Postage Stamps

N.B. — The expression "**postage stamps**" includes impressions of **franking machines**.

Rule 395. — Receipt from Country of Origin

An article of the foreign mail bearing a postage stamp which the post office of the country of origin has reason to believe counterfeit, fictitious or previously used, will be received from that country enclosed, along with a **special advice in Form C-10**, in a **service registered cover** addressed to the office of destination.

Rule 396. — Notice to Addressee — 48 Hours

When such an article is received in an Indian Post Office for delivery, it should be shown to the postmaster, who will serve the addressee with a **notice** in the following form:

"To

(Name) (Address)

Sir,

*Whereas a (description of article) bearing a postage stamp or (impression) which is believed to be counterfeit / fictitious / previously used, has been received to your address from (office and country of origin), you are hereby invited to attend either in person or by an agent duly authorised in writing to represent you, at the post office, within **48 hours**, to receive delivery of the same.*

Dated 20 Postmaster"

Rule 397. — Conditions for Delivery to Addressee

Should the addressee or his agent attend at the post office **within the time specified** in the notice, the article may be delivered to him, provided that —

- he **pays the postage due**; and
 - he **consents to make known the name and address of its sender**; and
 - he **surrenders to the postmaster the portion of the article** which bears the address and the postage stamp or stamps — or, if this portion is inseparable from the article, the **entire article**.
-

Rule 398. — Non-Attendance or Refusal — Article Not to Be Delivered

If the addressee should **fail to attend**, by himself or his agent, within the specified time; or if, having so attended, he should **refuse to make known the name and address of the sender**; or **refuse to make over to the postmaster** the entire article or the required portion — the article should **not be delivered**.

Rule 399. — Statement to Be Recorded in Form FMS.21

In either of the cases referred to in Rules 397 and 398, the postmaster should **record a statement in the prescribed Form FMS.21** setting forth the action taken by him and the facts of the case — such as failure on the part of the addressee or his agent to attend at the post office, refusal to make known the name and address of the sender, etc. This statement, together with the portion of the article (or the entire article as the case may be) and the **advice in Form C-10** received with the article, should be submitted through the prescribed channel to the **Head of the Circle** in which the office of delivery is situated.

Rule 400. — Head of Circle to Forward to Directorate for Transmission to Country of Origin

The Head of a Circle, on receiving the statement and the portion of the article, should forward them to the **office of the Director General** for transmission to the **Postal Administration of the country of origin** of the article.

NOTE 1. — Form FMS.21 will be supplied to **head offices only**. When a sub or branch office receives for delivery an article of the foreign mail accompanied by an advice in

Form C-10, the sub or branch postmaster should **place the article in deposit** and **obtain the instructions of the head office** as to its disposal. In such case, the head office will forward a copy of Form FMS.21 to the office of delivery with clear instructions as to the action to be taken under Rules 397 to 400.

NOTE 2. — When the addressee of a foreign mail article received under Form C-10 has **changed his address** and has left instructions for the redirection of articles, the article, accompanied by the advice in Form C-10, should be sent in a **service registered cover** to the address of the postmaster of the **new office of delivery**, or if that office be a sub or branch office, to that of the postmaster of its **head office**. If instructions for redirection have not been left by the addressee, the article and the advice Form C-10 should be submitted, with a report to that effect, through the prescribed channel, to the **Head of the Circle**.

NOTE 3. — If an **Indian office of foreign exchange** receives an article of the foreign mail accompanied by an advice in Form C-10, and the article is intended for delivery by an office other than itself, it should forward the article and advice to that office — or if the office of delivery be a sub or branch office, to its head office — enclosed in a cover **registered on service**.

FORM C-10 — ADVICE OF DESPATCH

(Postal administration of origin)

ADVICE

Office despatching the advice Date of advice

NOTE. — Advice of despatch by registered post, of the letter-post item described hereafter which apparently bears a postage stamp or impression of the nature indicated below:

A copy of the C-10 Form is being sent to the administrations of origin and destination, as well as the office of destination.

Nature of presumed fraud		
Counterfeit postage stamp		Already used postage stamp
Counterfeit franking machine impression		Already used franking machine impression
Counterfeit printing press impression		Already used printing press impression
Nature of item		
Office of origin	Date of posting	
Copy of address		
Presumed irregularity		
Observations, if any		

Stamp, date and signature

SECTION II – SPOILT AND DEFACED POSTAGE STAMPS

Rule 401. – Defaced, Imperfect or Torn Stamps – Not Recognised

Postage stamps, whether **adhesive, embossed, impressed or printed**, which have been,

- **(a) defaced, obliterated, or marked** (e.g., impressed with a rubber or other stamp, or bearing penmarks or writing of any kind, or having anything printed on them otherwise than by the authority of Government);
- **(b) separated from embossed envelopes, postcards or wrappers;**
- **(c) torn or cut; or**
- **(d) otherwise rendered imperfect,**

will **not be recognised** in payment of postage or any postal fees.

Such stamps, when found affixed to a postal article or document, will **not be defaced** but a remark stating **why they have been ignored** will be written on the article or document.

Rule 402. — Perforated Stamps — Permitted

There is **no prohibition** against the use, for the payment of postage or postal fees, of postage stamps **perforated with initials or other identifying marks** traced in minute holes.

Rule 403. — Relaxation for Embossed or Impressed Stamps

The prohibition against the marking of stamps should **not be too strictly enforced** in the case of **embossed or impressed stamps** borne by embossed envelopes, wrappers and postcards. That is to say:

- Where a **letter of the address encroaches on the stamp**, and where the encroachment is obviously **accidental**, the stamp should be recognised.
- Similarly, when the **seal affixed by the sender** to a registration envelope happens to extend over a **small part** of the embossed stamp, the stamp should not be considered imperfect merely on that account.
- A postage stamp affixed to articles presented for despatch should **not be ignored merely because it is torn** if the tear is **slight and obviously accidental**.

Whenever it is proposed not to recognise an embossed or impressed stamp, the article should be shown to the **postmaster or head sorter**, as the case may be, who should himself decide whether the stamp should or should not be recognised.

NOTE. — The postmaster's personal duties prescribed in this rule may, under the orders of the Head of the Circle, be performed by the **deputy postmaster or assistant postmaster** in the case of head offices, and by the **deputy sub-postmaster or assistant sub-postmaster** in the case of sub-offices.

Rule 404. — Use of Embossed Envelopes as Wrappers

Embossed envelopes, whether cut open or not, may be used as wrappers for newspapers, etc., but **registration envelopes may not be used** for the transmission of unregistered articles.

SECTION III – COUNTERFEIT OR FRAUDULENTLY DEFACED COINS OR FORGED CURRENCY NOTES

Treatment of Counterfeit or Fraudulently Defaced Coins

Rule 404/1. – Procedure for Suspected Counterfeit Coins

The following is the procedure for dealing with coins which, after receipt, are suspected to be counterfeit or to have been **fraudulently defaced**:

- (a) Such coins, whether received from the public or from another office, should be sent to the **treasury office for examination**. If the coins are counterfeit or fraudulently defaced, the treasury officer will, after **cutting and breaking** them, either return the pieces or — when he desires to keep them — **pay for the coins according to the value of the silver bullion** contained in them, under the **Indian Coinage Act, 2011** (Act No. 11 of 2011). In the latter case, the treasury office should **record the number of pieces retained** and note the amount paid.

 **LEGISLATIVE NOTE:** The original rule cited the **Indian Coinage Act, 1906**. This has been **repealed and replaced** by the **Indian Coinage Act, 2011 (Act No. 11 of 2011)**, which consolidates the law relating to coins in India. The procedure for cutting and breaking counterfeit coins is governed under the provisions of the 2011 Act read with RBI guidelines.

When suspected coins received from **another office** are being sent to the treasury, they should be enclosed in a cover bearing the **name of the office from which they were received**, and the treasury officer should be specially asked to return this cover with the broken pieces or with the voucher — to prevent any mistakes in the office in disposing of the pieces or the money received from the treasury.

- (b) If the coins were received from **the public**, the broken pieces or the voucher with the sum stated in it should be made over to the **official who received the coins**, and this official should be required to **pay the face value** of the coins.
- (c) If the coins were received from **another office**, the broken pieces or the voucher accompanied by the sum stated in it should be **sent to that office** with instructions

to recover the face value from the official who received them from the public and to **remit the amount at once**.

NOTE 1. — The following offices are authorised to **cut or break counterfeit coins** discovered at their offices:

- Director at **Mumbai GPO**
- Director at **Kolkata GPO**
- Chief Postmaster, **Chennai GPO**
- Postmasters / Chief Postmasters of Head Offices at **Delhi, New Delhi, Bangalore, Shillong, Cuttack, Jaipur, Hyderabad, Ambala, Nagpur, Patna and Lucknow**

NOTE 2. — As a general rule, the official responsible for accepting from the public **counterfeit coins** should be required to **make good their value**, except when the counterfeit is so clearly made that it **cannot be detected with ordinary care** and there is **no negligence** on the part of the official accepting the coin.

NOTE 3. — The procedure laid down in Note 2 above applies *mutatis mutandis* in the case of **forged currency notes** received in the course of transactions.

Procedure at Sub-Offices Not Situated at a Treasury Station:

At a sub-office not situated at a treasury station, coins which, after receipt, are suspected to be counterfeit or to have been fraudulently defaced, should be sent to the **head office like an ordinary remittance**, except that they should be enclosed in a **separate cover**, on which should be written the number and description of the coin and the words:

"suspected to be counterfeit / fraudulently defaced"

This rule applies *mutatis mutandis* in the case of **currency notes suspected to be forged**.

Procedure on Presentation of Forged Notes or Counterfeit Coins Over the Counter

Rule 404/2. — Counter Procedure for Forged Currency Notes and Counterfeit Coins

I. Procedure at Post Office Counters

(1) Forged Currency Notes —

When a currency note which is suspected to be a **forgery** is presented at a counter, the tenderer should be informed accordingly and handed an **acknowledgement** in the following form:

*"Mr. of
 (address) is informed that it is suspected that the currency note No.
 for Rs.
 presented by him is not genuine, and it is, therefore, being sent to the Currency Officer / Treasury Officer for examination. Any enquiries regarding the note should be addressed to that Officer."*

The suspecting office will then **forward the note** together with a **duplicate of the acknowledgement** to the nearest **Currency or Treasury Office** for disposal in the usual manner.

 **LEGISLATIVE NOTE:** The offence of **counterfeiting currency notes** and using forged currency notes as genuine is now governed under **BNS Sections 178 and 179** respectively (replacing IPC Sections 489A to 489E, which are now consolidated and restructured under BNS Chapter X). The **RBI Master Direction on Counterfeit Notes, 2025** (effective **1st April 2025**, updated from Master Direction 2024 dated **1st April 2024**) — which specifically references **BNS Sections 178–182** and **BNSS Section 398** — directs that for **5 or more counterfeit notes** detected in a single transaction, the notes shall be forwarded **immediately** to the **local police authorities or the Nodal Police Station** for investigation. For fewer than 5 notes, the notes shall be forwarded to the police through a **monthly consolidated statement**. These RBI directions apply to banks; post offices dealing in cash transactions should align their procedures with the nearest bank branch

or treasury as applicable. Production of High Quality Counterfeit Indian Currency Notes has been brought under the ambit of the **Unlawful Activities (Prevention) Act, 1967 (UAPA)** vide the Investigation of High Quality Counterfeit Indian Currency Offences Rules, 2013.

(2) Counterfeit Coins —

The following offices are authorised to **cut and return counterfeit coins** to the tenderers directly:

- Director at **Mumbai GPO**
- Director at **Kolkata GPO**
- Chief Postmaster, **Chennai GPO**
- Postmasters/Chief Postmasters of Head Offices at **Delhi, New Delhi, Bangalore, Shillong, Cuttack, Jaipur, Hyderabad, Ambala, Nagpur, Patna and Lucknow**

At **all other post offices**, the procedure laid down for forged notes should be followed in the case of counterfeit coins, the form of acknowledgement being suitably amended. Post offices other than the three Presidency post offices should **refuse to accept diminished and defaced coin**.

(3) Handling a Suspicious Note or Coin — Duty of Postmaster

If a note or coin is presented regarding the genuineness of which the receiving clerk has **well-founded suspicions**, he should bring the matter at once to the notice of the **postmaster**, who should take charge of the note or coin and, if he is also satisfied that the note or coin is counterfeit, he should endeavour to **ascertain the name and address of the presenter** and should **not return the note or coin** even if pressed to do so, until the case has been investigated. If, in the meantime, the presenter should **leave the post office premises**, the case should be **handed over to the police** for enquiry.

(4) Sending Suspected Notes and Coins to State Bank of India or Treasury

At places where there are **branches of the State Bank of India**, suspected notes and coins should be sent to **such branches of the Bank**. Where there is **no branch of the State Bank**, such notes and coins should be sent to **treasuries** as usual.

Ordinarily, post office employees should be capable of identifying **counterfeit coins**, and references to the local Treasury or the State Bank should be rare.

If coins which **cannot be clearly identified by the post office as counterfeit** are to be sent to the Treasury or the State Bank, it should be done **once a week** or at such intervals as may be agreed upon between the **Treasury Officer or the Agent of the Bank** and the postmasters concerned.

For the proper identity and safe custody of counterfeit coins when such coins have to be retained in the post office, the **postmaster himself should take them over** and after enclosing them in a closed cover and getting them **sealed with his own seal**, should keep them in his own custody until they are sent to the treasury or the State Bank.

(5) Currency Notes That Cannot Be Clearly Identified as Forged

If currency notes which cannot be clearly identified by the post office as forged are to be sent to the treasury or State Bank, the post office should **lose no time in sending them** to the Treasury or the State Bank as soon as they come to notice.

II. Indemnity by Reserve Bank of India

The **Reserve Bank of India** will **indemnify** all offices against the consequences in the event of a presenter taking any action against the office for carrying out the foregoing procedure.

III. Authorisation of State Bank of India and Treasuries

- (a) The Reserve Bank has authorised the **State Bank of India** at all its offices to **impound forged currency and bank notes**.
- (b) At places where there is **neither a currency office nor a branch of the State Bank**, **Treasury Officers** are authorised to accept, for disposal in the usual manner, suspected **currency or bank notes** tendered by the post offices.

- (c) At places where there is **neither a currency office nor a branch of the State Bank, Treasury Officers** are authorised to accept, for disposal in the usual manner, suspected **coins** tendered by the post offices.

✓ QUICK REVISION SUMMARY – CHAPTER VII

A. Key Statutory Cross-Reference Table

IPC Section (Old)	BNS Section (New – w.e.f. 1.7.2024)	Offence	Punishment
255	178	Counterfeiting Government stamp/coin/currency	Life imprisonment or up to 10 years + fine
260	179	Using as genuine a forged/counterfeit stamp/coin/currency	Life imprisonment or up to 10 years + fine
259	180	Possession of forged/counterfeit stamp/coin/currency with intent	Up to 7 years + fine
257	181	Making/possessing instruments for counterfeiting	Life imprisonment or up to 10 years + fine
261	183	Effacing writing from substance bearing Government stamp	Up to 3 years , or fine, or both
262	184	Using Government stamp known to have been before used	Up to 3 years , or fine, or both
263	185	Erasure of mark denoting stamp has been used	Up to 3 years , or fine, or both

263A	186	Prohibition of fictitious stamps (postal use)	Fine up to Rs. 200; stamps/instruments forfeited
409	316(2)	Criminal breach of trust by public servant	Life imprisonment or up to 10 years + fine
378	303	Theft	As per BNS Chapter XVII
411	317	Dishonestly receiving stolen property	Up to 3 years, or fine, or both

B. CrPC → BNSS Mapping

Purpose	CrPC Section (Old)	BNSS Section (New – w.e.f. 1.7.2024)
Postal custody – delivery/detention of articles	92	95
Cognizance by Magistrate	190	210
FIR to police	154	173
Non-cognisable – police investigation	155	174
Expert examination of currency notes	292	398

C. Operational Rules – Key Points

Concept	Rule	Key Provision
Previously used stamp – no marks removed	387	Ignore stamp; charge postage; note in error book
Service stamp on private letter – not criminal	388	Deal departmentally
Detect at District HQ post office	390(i)	Detain; inform Magistrate; report to HoC
Detect at non-HQ post office or mail office	390(ii)	Send in service registered cover to district HQ office

Article handed in at counter	390(iii)	Get name/address; inform police; give manuscript receipt
Detect at intermediate office	391	Forward in envelope to office of destination
Poster not necessarily the offender	393	—
Service stamp with marks erased by Govt. official	394	BNS 316(2) — criminal breach of trust by public servant
Foreign mail — C-10 advice received	395–400	Serve notice; 48-hour time limit; deliver conditionally or withhold
Form for statement	399	Form FMS.21 — filed through channel to HoC
Defaced/imperfect stamps	401	Not recognised; write reason on article
Perforated stamps (identifying marks)	402	Permitted
Embossed stamps — relaxation	403	Accidental encroachment accepted; postmaster to decide
Counterfeit coins — cutting authority	404/1 Note 1	Mumbai GPO, Kolkata GPO, Chennai GPO + 11 other HO Postmasters
Forged currency note — counter procedure	404/2	Give acknowledgement; forward to nearest Currency/Treasury Office
Suspicious note — presenter leaves premises	404/2(3)	Hand over to police for enquiry
5 or more counterfeit notes — RBI 2025 Direction	—	Forward immediately to police/Nodal Police Station
Indian Coinage Act	404/1	2011 Act (replaces 1906 Act)
RBI indemnity	404/2 II	RBI indemnifies offices against presenter's action

State Bank of India authority	404/2 III	Authorised to impound forged currency/bank notes at all SBI offices
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CONSOLIDATED LEGISLATIVE NOTE FOR CHAPTER VII:

1. Bharatiya Nyaya Sanhita, 2023 (BNS) — Effective **1st July 2024**. Replaces IPC, 1860. Offences relating to Government stamps, coins and currency notes are now in **Chapter X (Sections 178–186)** of the BNS. The BNS consolidates the earlier fragmented IPC Sections 255–263A and 489A–489E into a unified Chapter. The key change is that **counterfeiting of Government stamps, coins and currency notes** is now treated in a single combined framework under **BNS Section 178**, with a restructured punishment framework of imprisonment for life or up to 10 years and fine. Note: This represents a consolidation and restructuring rather than a uniform enhancement — the maximum determinate sentence for Government stamp counterfeiting has actually been reduced from 14 years (under IPC Section 255) to 10 years (under BNS Section 178), though the life imprisonment option is retained. The earlier IPC Section 489A (counterfeiting currency notes) already carried life imprisonment..

2. Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS) — Effective **1st July 2024**. Replaces CrPC, 1973. **Section 95 BNSS** replaces **Section 92 CrPC** for postal article custody procedure. Note that the word "telegraph" has been **excluded** from BNSS Section 95 (unlike CrPC Section 92 which covered both postal and telegraph authorities). Section 210 BNSS replaces Section 190 CrPC.

3. Post Office Act, 2023 — Effective **18th June 2024**. Replaces the Indian Post Office Act, 1898. **Section 4** of the 2023 Act retains the exclusive privilege in respect of postage stamps. All references to "Section 17 of the Indian Post Office Act, 1898" in the original Manual are to be read as references to the relevant provisions of the **Post Office Act, 2023** and **Post Office Regulations, 2024**.

4. Indian Coinage Act, 2011 — Replaces the Indian Coinage Act, 1906 cited in Rule 404/1. The 2011 Act governs the procedure for cutting and breaking counterfeit coins.

5. RBI Master Direction on Counterfeit Notes, 2025 (effective **1st April 2025**) — The RBI has issued its annual updated Master Direction expressly citing **BNS Sections 178–182**

and **BNSS Section 398** as the operative statutory basis for forged currency note offences. The **Investigation of High Quality Counterfeit Indian Currency Offences Rules, 2013** under the **Unlawful Activities (Prevention) Act, 1967 (UAPA)** remains in force, bringing high-quality counterfeit currency within the ambit of anti-terror legislation.

